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UNITED STATES DISTRICT COURT

NORTHERN DISTRICT OF CALIFORNIA – SAN FRANCISCO DIVISION

BRENDAN NGEHSI NEWANFORBI, Plaintiff, v. SHANNON SMITH, LCSW, Chief Executive Officer and Founder of HOPE Program, an individual; and HOPE PSYCHOTHERAPY, INC., d/b/a HOPE PROGRAM, a California corporation, Defendants.	Case No. 3:26-cv-07504-LJC **DEFENDANTS SHANNON SMITH AND HOPE PROGRAM, A LICENSED CLINICAL SOCIAL WORKER PROFESSIONAL CORPORATION'S NOTICE OF MOTION AND MOTION TO DISMISS; MEMORANDUM OF POINTS AND AUTHORITIES IN SUPPORT** Hearing Date: October 20, 2026 Hearing Time: 10:30 a.m. Court Room: G, 15th Floor Judge: Hon. Lisa J. Cisneros

TO THE COURT, ALL PARTIES AND THEIR COUNSEL OF RECORD:

PLEASE TAKE NOTICE that on October 20, 2026, at 10:30 a.m., in Courtroom G, 15th Floor, of the above-entitled Court located at 450 Golden Gate Avenue, San Francisco, CA 94102, before the Honorable Lisa J. Cisneros, Defendants Shannon Smith ("Smith") and HOPE Program, A Licensed Clinical Social Worker Professional Corporation ("Hope") (collectively "Defendants") will and hereby do move to dismiss Plaintiff's complaint pursuant to Rule 12(b)(6) of the Federal Rules of Civil Procedure.

Defendants seek dismissal of Plaintiff's complaint for failure to state a claim upon which

relief can be granted. This motion is based on this Notice and Memorandum of Points and Authorities, all pleadings, filings, and oral argument in this action.

MEET-AND-CONFER CERTIFICATION

On September 10, 2026, Defendants' counsel met and conferred with Plaintiff as to the sufficiency of the Complaint's allegations and Defendants' intention to file the instant motion to dismiss. The parties were unable to reach a resolution as to the arguments raised in Defendants' motion. The parties agreed that we have exhausted meet and confer efforts and have been unable to reach an agreement to avoid formal motion practice.

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MEMORANDUM OF POINTS AND AUTHORITIES

California requires parolees convicted of certain sex offenses to complete, as a condition of parole, a sex offender management program. (Compl.), ECF No. 1 ¶ 14; *see* Cal. Penal Code § 3008(d)(2). Plaintiff, who is one of these parolees, was referred to Hope for enrollment in sex offender group therapy in accordance with this requirement. *Id.* ¶¶ 11, 13. Disgruntled over his inability to complete the program, Plaintiff has filed multiple lawsuits against Hope and/or its employees in the past year, each challenging this condition of his parole. One of his lawsuits, filed in the San Joaquin County Superior Court, was recently resolved in Hope's favor when the court sustained Hope's demurrer to Plaintiff's first amended compliant without leave to amend for failure to allege sufficient facts to state a cause of action.[1] Undeterred, Plaintiff filed the instant action less than one week after the adverse state court decision. Although Plaintiff now asserts violation of his federal rights—the San Joaquin Superior Court action advanced only state law claims—the complaint filed in this case contains essentially the same factual allegations as the one Plaintiff filed in state court.

The San Joaquin Superior Court correctly held that plaintiff's claims were subject to dismissal for failure to state a claim. Because the dismissal of the state court action is entitled to full faith and credit, Plaintiff's claims in this action are barred under the doctrine of *res judicata*. Alternatively, Plaintiff's complaint should be dismissed because it fails to include sufficient factual allegations to state a claim for relief. For these reasons, Defendants' motion to dismiss should be granted.

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[1] Prior to commencing the state court action on February 10, 2026, Plaintiff filed two factually similar cases in the United States District Court for the Eastern District of California. On January 5, 2026, he filed a complaint against two parole officials and Hope's Site Director Katie Palacios, alleging claims under 42 U.S.C. § 1983. *See Newanforbi v. Derrick*, Case No. 2:26-cv-00004-DJC-JDP (E.D. Cal. 2026). A little more than two weeks later, he filed in the same district a separate lawsuit against four parole officials, the Secretary of the California Department of Corrections and Rehabilitation, Katie Palacios, and Hope. *See Newanforbi v. Hope Psychotherapy, Inc.*, Case No. 2:26-cv-00195-TLN-AC (E.D. Cal. 2026). On May 26, 2026, Plaintiff voluntarily dismissed this second case pursuant to Rule 41(a)(1)(A)(i). *See Newanforbi v. Hope Psychotherapy, Inc.*, Case No. 2:26-cv-00195-TLN-AC (E.D. Cal. 2026). More recently, Plaintiff voluntarily dismissed his other case he filed in the Eastern District of California.

I. BACKGROUND

Plaintiff commenced this action on July 20, 2026. ECF No. 1. According to the complaint, Plaintiff is a parolee under the supervision of the California Department of Corrections and Rehabilitation ("CDCR"). ECF No. 1 ¶ 11. Hope provides sex offender treatment to parolees pursuant to a contract with CDCR. *Id.* ¶¶ 1, 13. Defendant Smith is Hope's founder and Chief Executive Officer. *Id.* ¶¶ 1, 12.

Since March 2021, Plaintiff has been enrolled in Hope's sex offender management program. *Id.* ¶ 26. Plaintiff alleges that he not been able to complete the program because Hope—the sole certified sex offender treatment provider in the Stockton region—maintains a blanket policy under which no parolee can ever be found to have completed treatment before discharge from parole, regardless of the individual's progress. *Id.* ¶¶ 20, 26. According to Plaintiff, this policy is documented in Hope's Clinical Operational Manual, which allegedly bars "discharging a client from treatment for any reason" and prohibits Hope clinicians from providing a Treatment Completion Certificate "directly to clients." *Id.* ¶ 3. Although the same manual allegedly describes a six-step graduation process, Plaintiff contends that the pathway to graduation is illusory given Hope's prohibition on "discharging a client from treatment for any reason." *Id.* ¶¶ 3, 21, 42.

Plaintiff further alleges that Smith "personally approved, implemented, and enforced" this policy, which provided a financial benefit to Hope by increasing the number of parolees enrolled in its treatment program. *Id.* ¶¶ 1, 12, 45-47. He also alleges that Hope's Site Director, Katie Palacios ("Palacios"), made false statements—e.g., mischaracterizing homework as only "partially completed"—in a CDCR Form 3043 that was provided to CDCR. *Id.* ¶ 35. These false statements were allegedly incorporated into a November 2025 Discharge Review Report that recommended Plaintiff remain in Hope's treatment program. *Id.* ¶¶ 25, 31-33. Lastly, Plaintiff contends that after he complained about Hope's unlawful practices, Palacios retaliated against him by calling him "disruptive," a "ringleader," and "abhorrent" in front of his parole agents at an August 19, 2025 Containment Team Meeting ("CTM"). *Id.* ¶¶ 5, 39.

Based on these allegations, the complaint alleges five claims styled as: (1) 42 U.S.C. § 1983-Individual Capacity; (2) 42 U.S.C. § 1983-Monell Liability; (3) California Civil Code Section 52.1

(Bane Act); (4) Fraud and Negligent Misrepresentation; and (5) 18 U.S.C. Section 1962(c)-(d) (RICO). *Id.* at 16-21.

II. LEGAL STANDARDS

Pursuant to Rule 12(b)(6) of the Federal Rules of Civil Procedure ("Rules"), a defendant may move to dismiss a complaint for "failure to state a claim upon which relief can be granted." Fed. R. Civ. P. 12(b)(6). A Rule 12(b)(6) motion tests the legal sufficiency of the complaint. *N. Star Int'l v. Ariz. Corp. Comm'n*, 720 F.2d 578, 581 (9th Cir. 1983). "Dismissal can be based on the lack of a cognizable legal theory or the absence of sufficient facts alleged under a cognizable legal theory." *Balistreri v. Pacifica Police Dep't*, 901 F.2d 696, 699 (9th Cir. 1990). A complaint must allege "enough facts to state a claim to relief that is plausible on its face." *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007). "A claim has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009). "Where a complaint pleads facts that are merely consistent with a defendant's liability, it stops short of the line between possibility and plausibility of entitlement to relief." *Id.* (citations and quotation marks omitted).

When presented with a motion to dismiss pursuant to Rule 12(b)(6), the court accepts as true the allegations in the complaint and construes them in the light most favorable to the plaintiff. *Hishon v. King & Spalding*, 467 U.S. 69, 73 (1984); *Love v. United States*, 915 F.2d 1242, 1245 (9th Cir. 1989). The court, however, need not assume the truth of legal conclusions cast in the form of factual allegations. *United States ex rel. Chunie v. Ringrose*, 788 F.2d 638, 643 n.2 (9th Cir. 1986). Although Rule 8(a) does not require detailed factual allegations, "it demands more than an unadorned, the-defendant-unlawfully-harmed-me accusation." *Iqbal*, 556 U.S. at 678.

Thus, a complaint is insufficient if it offers mere "labels and conclusions" or "a formulaic recitation of the elements of a cause of action." *Twombly*, 550 U.S. at 555; *see also Iqbal*, 556 U.S. at 676 ("Threadbare recitals of the elements of a cause of action, supported by mere conclusory statements, do not suffice."). "Moreover, it is inappropriate to assume the plaintiff 'can prove facts that it has not alleged or that the defendants have violated the . . . laws in ways that have not been alleged." *Arroyo v. LL Folsom, L.P.*, 630 F. Supp. 3d 1346, 1349 (E.D. Cal. 2022) (quoting

Associated Gen. Contractors of Cal., Inc. v. Cal. State Council of Carpenters, 459 U.S. 519, 526 (1983)).

III. ARGUMENT

Plaintiff has already had an opportunity to challenge the condition of his parole requiring his continued enrollment in Hope's sex offender management in the lawsuit he filed in San Joaquin County Superior Court. His present attempt to evade the San Joaquin County Superior Court's ruling by filing suit in a different forum is foreclosed by the doctrine of *res judicata*. Alternatively, each of plaintiff's claims should be dismissed because the complaint fails to provide sufficient factual allegations to state a claim for relief.

A. Claim Preclusion

"[F]ederal courts are required to give state court judgments the preclusive effects they would be given by another court of that state." *Brodheim v. Cry*, 584 F.3d 1262, 1268 (9th Cir. 2009). This requires federal courts to apply the relevant state preclusion rules to assess the preclusive effect of the state court's decision. *Miofsky v. Super. Ct. of Cal.*, 703 F.2d 332, 336 (9th Cir. 1983). In California, *res judicata* "has a double aspect," encompassing both claim preclusion and collateral estoppel. *People v. Barragan*, 32 Cal. 4th 236, 252 (2004). Claim preclusion bars a second lawsuit between the same parties on the same cause of action, while collateral estoppel, also referred to as issue preclusion, bars relitigation of an issue that was actually litigated and determined in the first action. *Id.* at 252-53. The elements for both claim and issue preclusion "are the same: (1) A claim or issue raised in the present action is identical to a claim or issue litigated in a prior proceeding; (2) the prior proceeding resulted in a final judgment on the merits; and (3) the party against whom the doctrine is being asserted was a party or in privity with a party to the prior proceeding." *Boeken v. Philip Morris USA, Inc.*, 48 Cal. 4th 788, 797 (2010) (quoting *Barragan*, 32 Cal. 4th at 252-53).

Here, each of these elements is satisfied. With respect to the first element—that the present case is identical to a claim or issue litigated in a prior proceeding—"California courts have 'consistently applied the 'primary rights' theory.'" *Id.* (quoting *Slater v. Blackwood*, 15 Cal. 3d 791, 795 (1975)). Under California's "primary rights" theory, "a cause of action is (1) a primary right possessed by the plaintiff, (2) a corresponding primary duty devolving upon the defendant, and (3) a

harm done by the defendant which consists in a breach of such primary right and duty." *City of Martinez v. Texaco Trading & Transp., Inc.*, 353 F.3d 758, 762 (9th Cir. 2003) (citing *Citizens for Open Access to Sand & Tide, Inc. v. Seadrift Ass'n*, 60 Cal. App. 4th 1053, 1065 (1998)). "[I]f two actions involve the same injury to the plaintiff and the same wrong by the defendant, then the same primary right is at stake even if in the second suit the plaintiff pleads different theories of recovery, seeks different forms of relief and/or adds new facts supporting recovery." *San Diego Police Officers' Ass'n v. San Diego City Emps.' Ret. Sys.*, 568 F.3d 725, 734 (9th Cir. 2009) (quoting *Eichman v. Fotomat Corp.*, 147 Cal. App. 3d 1170. 1174 (1983)).

In the San Joaquin County Superior Court action, Plaintiff alleged causes for action for: (1) fraud/intentional misrepresentation; (2) negligence; (3) intentional infliction of emotional distress; (4) intentional interference with prospective economic advantage; (5) violation of the Bane Act; (6) declaratory relief due; and (7) violation of Business & Professions Code § 17200. Each of these claims was based on Hope and its employee's wrongful actions to enforce Hope's "blanket retention policy that makes completion [of its sex offender management program] impossible for any participant prior to parole discharge." Req. J. Not., Ex A at 2, 4-6, 8, 12, 15-17, 20-22. Plaintiff alleged that as a result of this blanket policy, he was required to remain in Hope's sex offender treatment program, which interfered with his ability work as a long-haul commercial truck driver. *Id.* at 12-15, 19.

The instant action involves the same injury to Plaintiff and challenges the same conduct by HOPE and its employees. Specifically, Plaintiff alleges that Hope and Smith "enforced a blanket retention policy under which no parolee could ever be determined to have completed sex offender treatment prior to discharge from parole, regardless of individual clinical progress, compliance, risk reduction, or homework completion. ECF No. 1 ¶ 1. The federal complaint also alleges that as a result of this blanket policy, "Plaintiff Brendan Ngehsi Newanforbi has been trapped in mandatory treatment since March 2021 . . . ." *Id.* ¶ 5. Thus, the same primary right is at stake in both cases. Accordingly, under California's primary rights theory, Plaintiff's causes of action in this case are identical to those alleged in his prior state court case.

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Although Plaintiff's state court action did not assert claims for violation of section 1983 and the Racketeer Influenced and Corrupt Organization Act ("RICO"), he is precluded from litigating these claims because he could have litigated them in his state court case. *Clark v. Yosemite Community College Dist.*, 785 F.2d 781, 786 (9th Cir. 1986) ("Although Clark did not raise a section 1983 claim in the state proceeding, the doctrine of res judicata applies not only to those claims actually litigated in the first action but also to those which might have been litigated as part of that cause of action."); *Monterey Plaza Hotel Ltd. P'ship v. Local 483 of the Hotel Employees & Rest. Employees Union, AFL-CIO*, 215 F.3d 923, 928 (9th Cir. 2000) ("The harm alleged is fundamentally the same injury to business reputation and customer goodwill. This court will not allow these claims to be relitigated in the RICO context when they were capable of being litigated and decided in the state court.").

The second element for preclusion—a final judgment on the merits—is also satisfied. On July 15, 2026, just five days before Plaintiff commenced this action, the San Joaquin County Superior Court issued an order sustaining Hope's demurrer to the first amended complaint with prejudice for Plaintiff's failure to allege facts sufficient to state any cause of action. Req. J. Not., Ex. C. *See Palomar Mobilehome Park Ass'n v. City of San Marcos*, 989 F.2d 362, 364 (9th Cir. 1993) ("In California, a judgment entered after the sustaining of a general demurrer is a judgment on the merits, and, to the extent that it adjudicates that the facts alleged do not establish a cause of action, it will bar a second action on the same facts.").

The final element requires that "the party against whom the doctrine [of *res judicata*] is being asserted was a party or in privity with a party to the prior proceeding." *Boeken*, 48 Cal. 4th at 797. Plaintiff Newanforbi was the sole plaintiff in the state court action, which is true of the instant case.[2] Thus, this final requirement is also satisfied.

[2] Defendants also note that there is privity between all defendants in the state and federal actions. Shannon Smith, the individual defendant named in this case, and Katie Palacios, the individual defendant named in the state action, are both Hope employees. *See Scott v. Kuhlmann*, 746 F.2d 1377, 1378 (9th Cir. 1984) (per curiam) (finding privity for purposes of *res judicata* in a case where "[d]ifferent individuals [we]re named defendants in the two suits, but all [were] employees of the FCC who participated in the" challenged conduct that led to the alleged injury); *Drawsand v. F.F. Properties, L.L.P.*, 866 F. Supp. 2d 1110, 1227 (N.D. Cal. 2011) ("An employer-employee relationship generally satisfies the privity requirement for matters within the scope of employment.").

Simply put, Plaintiff alleges the Defendants engaged in the same wrongful conduct that resulted in the same injury that formed the basis of his state court action. Although the state court complaint did not allege claims for violation of section 1983 and RICO or include Shannon Smith as a defendant, both cases involve the same parties and causes of action claims under California's primary rights theory. Lastly, the state court action was decided on the merits in Hope's favor. Accordingly, the doctrine of *res judicata* bars Plaintiff from litigating each of his claims.

B. The Complaint Fails to Plausible Allege a Viable Claim

Plaintiff's complaint is also subject to dismissal because it fails to include sufficient factual allegations to state a claim upon which relief may be granted.

1. 42 U.S.C. § 1983

Plaintiff's first and second claims allege violations of his First and Fourteenth Amendment rights under 42 U.S.C. § 1983. Both claims are deficient in multiple respects. First, the complaint's allegations fail to demonstrate that Defendants are state actors. Second, Plaintiff's allegations do not establish a violation of his First and Fourteenth Amendment rights.

a. State Actor

A plaintiff does not have a cause of action directly under the United States Constitution. *Livadas v. Bradshaw*, 512 U.S. 107, 132 (1994) (affirming 42 U.S.C. § 1983 provides federal cause of action for the deprivation of rights secured by the United States Constitution). Instead, 42 U.S.C. § 1983 provides the "mechanism for vindicating federal or constitutional rights." *Stilwell v. City of Williams*, 831 F.3d 1234, 1240 (9th Cir. 2016). To succeed on a section 1983 claim, a plaintiff must establish "the violation of a right secured by the Constitution and laws of the United States, and . . . that the . . . deprivation was committed by a person acting under color of state law." *West v. Atkins*, 487 U.S. 42, 48 (1988); *see Leer v. Murphy*, 844 F.2d 628, 632-33 (9th Cir. 1988) ("Section 1983 imposes two essential proof requirements upon a claimant: (1) that a person acting under color of state law committed the conduct at issue, and (2) that the conduct deprived the claimant of some right, privilege, or immunity protected by the Constitution or laws of the United States.").

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"When addressing whether a private party acted under color of law, [courts] start with the presumption that private conduct does not constitute governmental action." *Sutton v. Providence St. Joseph Med. Ctr.*, 192 F.3d 826, 835 (9th Cir. 1999); *see also Am. Mfrs. Mut. Ins. Co. v. Sullivan*, 526 U.S. 40, 50 (1999) ("[T]he under-color-of-state-law element of § 1983 excludes from its reach merely private conduct, no matter how discriminatory or wrongful.") (quotations omitted). That presumption can be rebutted "if, though only if, there is such a 'close nexus between the State and the [private entity's] challenged action' that seemingly private behavior 'may be fairly treated as that of the State itself.'" *Brentwood Acad. v. Tennessee Secondary Sch. Athletic Ass'n*, 531 U.S. 288, 295 (2001) (quoting *Jackson v. Metro. Edison Co.*, 419 U.S. 345, 351 (1974)).

Evaluating whether private conduct may be fairly attributable to the State is a fact-intensive inquiry. *Lee v. Katz*, 276 F.3d 550, 554 (9th Cir. 2002). "The Supreme Court has developed four different tests that aid [courts] in identifying state action: (1) public function; (2) joint action; (3) governmental compulsion or coercion; and (4) governmental nexus." *Pasadena Republican Club v. Western Just. Ctr.*, 985 F.3d 1161, 1167 (9th Cir. 2021) (quotations omitted). "'Satisfaction of any one test is sufficient to find state action, so long as no countervailing factor exists.'" *Rawson v. Recovery Innovations, Inc.*, 975 F.3d 742, 747 (9th Cir. 2020) (quoting *Kirtley v. Rainey*, 326 F.3d 1088, 1092 (9th Cir. 2003)). Importantly, Plaintiff bears the burden of establishing that Defendants are state actors. *See Florer v. Congregation Pidyon Shevuyim, N.A.*, 639 F.3d 916, 922 (9th Cir. 2011) (citing *Flagg Bros., Inc. v. Brooks*, 436 U.S. 149, 156 (1978)). "Only in rare circumstances can a private party be viewed as a 'state actor' for § 1983 purposes." *Harvey v. Harvey*, 949 F.2d 1127, 1130 (11th Cir. 1992).

(1) Public Functions Test

Plaintiff appears to contend that Hope and Smith are state actors under the public functions test. *See* ECF No. 1 ¶ 18-19. "Under the public function test, when private individuals or groups are endowed by the State with powers or functions governmental in nature, they become agencies or instrumentalities of the State and subject to its constitutional limitations." *Lee*, 276 F.3d at 555 (quotations omitted). "The public function test is satisfied only on a showing that the function at issue is both traditionally and exclusively governmental." *Rawson*, 975 F.3d at 747 (quotations

omitted). This rigorous test is rarely satisfied, *Mark v. Borough of Hatboro*, 51 F.3d 1137, 1142 (3rd. Cir. 1995), for "[w]hile many functions have been traditionally performed by governments, very few have been 'exclusively reserved to the State,'" *Flagg Brothers*, 436 U.S. at 158.

Plaintiff alleges that "Hope contracts with CDCR to provide mandatory sex offender treatment, a function CDCR is statutorily required to administer under Penal Code Section 3008." ECF No. 1 ¶ 18. After observing that a private citizen is considered a state actor when providing services that are traditionally and exclusively public functions, Plaintiff alleges that "HOPE's role as sole certified provider, its submission of clinical reports to CDCR that directly affect parole decisions, and its performance of mandatory state-ordered treatment makes HOPE a state actor." *Id.* ¶ 19. At most, Plaintiff's allegations reflect that he is required, as a condition of his parole, to participate in a sex offender management program. Importantly, his allegations do not demonstrate that providing sex offender management therapy has been "traditionally the exclusive prerogative of the State." *Blum v. Yaretsky*, 457 U.S. 991, 1005 (1982). Indeed, there is nothing prohibiting sex offenders like Plaintiff from obtaining private treatment on their own accord. *See Reinhardt v. Kopcow*, 65 F. Supp. 3d 1164, 1173 (D. Colo. 2014) (finding that sex offender treatment was not traditionally and exclusively a state function); *Colliton v. Bunt*, 2016 WL 7443171, at *7 (S.D.N.Y. Dec. 27, 2016) ("Plaintiff has failed to allege that Bunt, in providing sex offender treatment to Plaintiff, was 'exercis[ing] powers that are traditionally the exclusive prerogative of the state,' and thus has not plausibly alleged that the public function test is met.").

(2) Joint Action Test

Under the joint action test, the court considers whether "the state has so far insinuated itself into a position of interdependence with the private entity that it must be recognized as a joint participant in the challenged activity. This occurs when the State knowingly accepts the benefits derived from unconstitutional behavior." *Parks Sch. of Bus., Inc. v. Symington*, 51 F.3d 1480, 1486 (9th Cir. 1995) (internal citations, brackets, and quotation marks omitted). "A plaintiff may demonstrate joint action by proving the existence of a conspiracy or by showing that the private party was 'a willful participant in joint action with the State or its agents.'" *Franklin v. Fox*, 312 F.3d 423, 445 (9th Cir. 2002) (quoting *Collins v. Womancare*, 878 F.2d 1145, 1154 (9th Cir. 1989), cert.

denied). The Ninth Circuit has "been careful to require a substantial degree of cooperation before imposing civil liability for actions by private individuals that impinge on civil rights." *Id.*; *see Polk County v. Dodson*, 454 U.S. 312, 325 (1981) (finding public defender not acting under color of state law when performing advocacy function).

Plaintiff's allegations do not establish that Defendants acted jointly with CDCR in such a way to generate a benefit to the State. Nor do the allegations reflect that Defendants and CDCR shared a common goal of violating Plaintiff's constitutional rights. *See Franklin v. Fox*, 312 F.3d 423, 455 (9th Cir. 2002) (observing that joint action is established by showing a private defendant shared "with the public entity the goal of violating a plaintiff's constitutional rights"). Instead, Plaintiff merely alleges that Defendants had a contract with CDCR to provide sex offender management therapy. That contract alone is not sufficient to establish joint action. *See Rendell-Baker v. Kohn*, 457 U.S. 830, 841 (1982) ("[A]cts of . . . private contractors do not become acts of the government by reason of their significant or even total engagement in performing public contracts.").

(3) Governmental Compulsion Test

The third test—the governmental compulsion or coercion test—considers whether the coercive influence or "significant encouragement" of the state "effectively converts a private action into a government action." *Kirtley*, 326 F.3d at 1094 ("We have treated a nominally private entity as a state actor when it is controlled by an 'agency of the State'"). "Even extensive regulation by the government does not transform the actions of the regulated entity into those of the government." *San Francisco Arts & Athletics, Inc. v. U.S. Olympic Comm.*, 483 U.S. 522, 544 (1987). Instead, a plaintiff must show "that state regulation 'evidence[s] governmental coercion or encouragement' over the particular activity that allegedly caused the constitutional injury." *Vasquez v. Reece Sch.*, No. 22-CV-5986 (GHW) (JW), 2023 WL 11992389, at *3 (S.D.N.Y. Feb. 6, 2023) (quoting *Dawkins v. Biondi Educ. Ctr.*, 164 F. Supp. 3d 518, 526 (S.D.N.Y. 2016)).

Plaintiff's allegations do not evidence that state regulation coerced or encouraged Defendants actions. Instead, the complaint's allegations merely show that Plaintiff's participation in the HOPE Program was mandated by statute and implemented pursuant to CDCR's regulations. Moreover, there is no allegation suggesting that the blanket-policy that Defendants allegedly maintained was required

by the State. *See Caviness* v. *Horizon Cmty. Learning Ctr., Inc.*, 590 F.3d 806, 816 (9th Cir. 2010) ("Even extensive government regulation of a private business is insufficient to make that business a state actor if the challenged conduct was 'not compelled or even influenced by any state regulation.'"); *Sullivan*, 526 U.S. at 52 (State action requires "a sufficiently close nexus between the State and the challenged action of the regulated entity so that the action of the latter may be fairly treated as that of the State itself. Whether such a 'close nexus' exists, our cases state, depends on whether the State has exercised coercive power or has provided such significant encouragement, either overt or covert, that the choice must in law be deemed to be that of the State.") (citation and some quotations omitted).

(4) Governmental Nexus Test

The governmental nexus test asks whether "there is such a close nexus between the State and the challenged action that the seemingly private behavior may be fairly treated as that of the State itself." *Brentwood Academy v. Tennessee Secondary School Athletic Ass'n*, 531 U.S. 288, 295 (2001) (internal quotation marks omitted). "Typically, the nexus has consisted of participation by the state in an action ostensibly taken by the private entity, through conspiratorial agreement . . . , official cooperation with the private entity to achieve the private entity's goal . . . , or enforcement and ratification of the private entity's chosen action[.]" *Sutton v. Providence St. Joseph Med. Ctr.*, 192 F.3d 826, 841 (9th Cir. 1999). "[A]t bottom, the inquiry is always whether the defendant has exercised power possessed by virtue of state law and made possible only because the wrongdoer is clothed with the authority of state law." *Pasadena Republican Club v. W. Justice Ctr.*, 985 F.3d 1161, 1167 (9th Cir. 2021) (quoting *Rawson v. Recovery Innovations, Inc.*, 975 F.3d 742, 747-48 (9th Cir. 2020)), cert. denied, 142 S. Ct. 347 (2021).

At most, Plaintiff has alleged that CDCR has contracted with Hope to provide sex offender management therapy. Again, providing services pursuant to that contract is insufficient to establish that Hope and its employees, include Defendant Smith, were state actors for purposes of section 1983. *See Rendell-Baker*, 457 U.S. at 841.

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b. Plaintiff Fails to Allege Violations of the First and Fourteenth Amendments

Plaintiff's allegations are also insufficient to state First Amendment retaliation and Fourteenth Amendment procedural due process claims.

(1) First Amendment Retaliation Claim

"The law is settled that as a general matter the First Amendment prohibits government officials from subjecting an individual to retaliatory actions . . . for speaking out." *Hartman v. Moore*, 547 U.S. 250, 256 (2006). To state a First Amendment retaliation claim, "the plaintiff must allege that (1) it engaged in constitutionally protected activity; (2) the defendant's actions would 'chill a person of ordinary firmness' from continuing to engage in the protected activity; and (3) the protected activity was a substantial motivating factor in the defendant's conduct—i.e., that there was a nexus between the defendant's actions and an intent to chill speech." *Az. Students' Ass. v. Ariz. Bd. of Regents*, 824 F.3d 858, 867 (9th Cir. 2016). Although Plaintiff is not required to establish that Defendants' actions actually suppressed his speech, he still must allege facts showing that Defendants "'intended to interfere' with [his] First Amendment rights and that [he] suffered some injury as a result." *Id.*

Plaintiff alleges that prior to August 2025, he "exercised his First Amendment rights by making complaints to HOPE regarding HOPE's retention policy, loss of homework records, clinician turnover, phase progression, and treatment completion." ECF No. 1 ¶ 38. He claims that in retaliation for his complaints, Palacios made "statements in the presence of Plaintiffs parole agents, including that Plaintiff was 'disruptive,' a 'ringleader,' 'abhorrent,' 'often disrespectful,' and that his demeanor was 'an acting job'" *Id.* ¶ 39. Plaintiff further alleges that these statements were made during "a CTM that directly determined Plaintiff's parole conditions." *Id.* ¶ 40.

Even assuming Plaintiff's complaints about Hope constitute protected activity, his allegations still fall woefully short of stating a First Amendment claim. Essentially, Plaintiff alleges that in response to complaints, a Hope employee verbally criticized him. While Plaintiff may believe the alleged statements were harsh and unfounded, the responsive speech does not amount to an infringement of his First Amendment rights. *See Nunez v. City of Los Angeles*, 147 F.3d 867, 875

(9th Cir. 1998) ("It would be the height of irony, indeed, if mere speech, in response to speech, could constitute a First Amendment violation."); *Blair v. Bethel School Dist.*, 608 F.3d 540, 544 (9th Cir. 2010) ("[D]eminimis deprivations of benefits and privileges on account of one's speech do not give rise to a First Amendment claim. Rather, for adverse, retaliatory actions to offend the First Amendment, they must be of a nature that would stifle someone from speaking out. The most familiar adverse actions are 'exercise[s] of governmental power' that are 'regulatory, proscriptive, or compulsory in nature' and have the effect of punishing someone for his or her speech.").

Furthermore, the mere fact that Palacios's critical statements were allegedly uttered in the presence of parole agents at a Containment Team Meeting "that directly determined Plaintiff's parole conditions" is not sufficient to transform Palacios's speech into a First Amendment violation. *See* ECF No. 1 ¶ 40. Significantly, there is no allegation suggesting that Palacios's statements were made in an effort to stop Plaintiff from continuing his criticism of Hope or otherwise chill his speech. There is also nothing in the complaint suggesting that Plaintiff was injured as a result of Palacios's statements. *Nieves v. Bartlett*, 587 U.S. 391, 398 (2019) (observing that a First Amendment retaliation claim requires a plaintiff to "establish a 'causal connection' between defendant's 'retaliatory animus' and the plaintiff's 'subsequent injury'"). Accordingly, Plaintiff fails to state a First Amendment retaliation claim.

(2) Due Process Claim

Plaintiff's allegations are also insufficient to state a due process claim. As a threshold matter, Plaintiff does not specify whether he is alleging a substantive or procedural due process claim. To the extent he is attempting assert a substantive due process claim based on the requirement that he continue to participate in sex offender therapy as a condition of parole, such a claim fails as a matter of law. *See Styre v. Adams*, 645 F.3d 1106, 1108 (9th Cir. 2011) ("[N]o substantive due process right [is] created by California's parole scheme."); *see also Doe v. Tandeske*, 361 F.3d 594, 596-97 (9th Cir. 2004) (holding that "persons who have been convicted of serious sex offenses do not have a fundamental right to be free from the registration and notification requirements" imposed by state law).

Plaintiff also fails to state a procedural due process claim. To state such a claim, Plaintiff is required to allege: "(1) a deprivation of a constitutionally protected liberty or property interest, and (2) a denial of adequate procedural protections." *Kildare v. Saenz*, 325 F.3d 1078, 1085 (9th Cir. 2003).

Plaintiff alleges that Hope submitted reports to CDCR that falsely represented that: "[He] partially participates in discussion. [He] has partially completed homework packets. [He] demonstrates partial understanding of the subject material. [He] is fixated on lawsuits instead of subject material." ECF No. 1 ¶ 32. He claims that these statements mischaracterized his "status as not having completed sex-offender treatment," *id.*, and have deprived him of his liberty by requiring him to continue sex offender therapy, *id.* ¶ 37.

Plaintiff's procedural due process claim fails because he does not have a protected liberty in the discontinuation of his sex offender therapy. "There is no right under the Federal Constitution to be conditionally released before the expiration of a valid sentence, and the States are under no duty to offer parole to their prisoners." *Swarthout v. Cooke*, 562 U.S. 216, 220 (2011). However, a liberty interest "may arise from an expectation or interest created by state laws or policies." *Wilkinson v. Austin*, 545 U.S. 209, 221 (2005).

There can be no dispute that an individual has a liberty interest in being free from being labeled a sex offender and subjected to the consequences that attach to that label, including registration and sex offender treatment requirements. *Neal v. Shimoda*, 131 F.3d 818, 830 (9th Cir. 1997) ("The stigmatizing consequences of the attachment of the 'sex offender' label coupled with the subjection of the targeted inmate to a mandatory treatment program whose successful completion is a precondition for parole eligibility create the kind of deprivations of liberty that require procedural protections."). But convicted sex offenders who are subject to mandatory sex offender treatment, such as Plaintiff, have already received all procedural protections required under the Fourteenth Amendment. *Id.* at 131 ("Neal, 131 F.3d at 831 ("An inmate who has been convicted of a sex crime in a prior adversarial setting, whether as the result of a bench trial, jury trial, or plea agreement, has received the minimum protections required by due process."); *Fletcher v. Idaho Dep't of Corr.*, 2020 WL 7082690, at *6 n.5 (D. Idaho Dec. 3, 2020) ("Although such an individual has a liberty interest

in avoiding mandatory sex offender treatment and registration, that individual—having been convicted in a court of law of a registrable sex offense—has already received all the process to which he is due.").

Importantly, Plaintiff does not contend that the requirement that he complete sex offender therapy as a condition of his parole is unconstitutional. Instead, he only claims that, due to Hope's false reports, he "remains subject to GPS monitoring, curfew restrictions, mandatory treatment attendance, and parole supervision conditions that would not have been imposed or continued but for HOPE's false treatment-status reports and blanket retention policy." ECF No. 1 ¶ 50.

Although Plaintiff faults Defendants for the continued imposition of several parole conditions, Plaintiff does not plausibly allege that Defendants' conduct bears any relation to the these conditions, except the requirement he continue sex offender treatment. Indeed, Plaintiff's allegations reflect that Hope's involvement was limited to providing mandated therapy, not formulating the conditions of his parole, including the mandated curfew and GPS monitoring.

Thus, the only interest as issue, at least as to Defendants, is Plaintiff's retainment in sex offender treatment. California law, however, has not created a liberty interest in having this treatment discontinued. As the Complaint acknowledge, California Penal Code § 3008 requires high-risk sex offenders, such as Plaintiff, "to participate in a sex offender management program." ECF No. 1 ¶ 14. The statute specifically provides that length of treatment shall range between one year and the remaining term of the individual's parole, with "[t]he length of the period in the program . . . to be determined by the certified sex offender management professional in consultation with the parole officer and as approved by the court." Cal. Penal Code § 3008(d). Under CDCR's implementing regulations, a Containment Team—consisting of the supervised person (i.e., parolee), a parole agent, the unit supervisor, and the contracted clinician—reviews the supervised person's program completion to determine the length of participation in the sex offender management program. Cal. Code Regs., tit. 15, § 3574(e). The determination to retain a supervised person in a sex offender management program is documented on CDCR Form 3043 Containment Team Meeting/Earned Discharge Consideration Committee and is signed by the parole agent. 15 Cal. Code Regs. § 3574(f).

Critically, neither California Penal Code § 3008 nor 15 CCR § 3574(f)(1) create a right or expectation that completion of course work and adequate attendance and participation will result in a decision finding successful completion of the sex offender management program. Instead, California law simply requires that the decision to retain an individual the program be supported by "good cause."[3] 15 Cal. Code Regs. § 3574(f).

At most, Plaintiff has a liberty interest in remaining on parole. He does, however, have a protected interest in modifying the condition of that liberty. *See Greenholtz v. Inmates of Neb. Penal & Corr. Complex*, 442 U.S. 1, 9-10 (1979) ("There is a crucial distinction between being deprived of a liberty one has, as in parole, and being denied a conditional liberty that one desires.").

Even assuming Plaintiff has a protected liberty interest in having the conditions of his parole modified, he has received all the process that he is due. Plaintiff's allegations strongly suggest that administrative remedies were available, but that he chose not to peruse them. In that regard, Plaintiff specifically alleges that Hope "prepared and submitted treatment-status content to CDCR using CDCR Form 3043 and contributed to CDCR's Discharge Review Report (Form I 502-DR)." ECF No. 1 ¶ 31. The determination to retain a supervised person in a sex offender management program is documented on CDCR Form 3043 Containment Team Meeting/Earned Discharge Consideration Committee, and is signed by the parole agent. 15 Cal. Code Regs. § 3574(f). Thereafter, the supervised person is subject to a discharge review by the parole agent, which "means a review of a supervised person's criminal history, and their adjustment and/or performance while under parole supervision for the purpose of rendering a decision as to whether or not a supervised person should be retained on parole supervision for another year or be discharged from parole supervision altogether." 15 Cal. Code Regs. § 3720(2). A discharge review report is prepared on CDCR Form 1502. 15 Cal. Code Regs. § 3721.1. A supervised person, such as Plaintiff, "may file a grievance regarding any mistake of fact contained in the discharge review report pursuant to the administrative remedies procedures provided in section 3480, *et seq*." 15 Cal. Code Regs. § 3723.

[3] Even assuming that there was not "good cause" to retain Plaintiff in Hope's sex offender management program, the violation of California law does not equate to a violation of Plaintiff's due process rights. *Swarthout*, 532 U.S. at 221 (observing that the Supreme Court has "long recognized that a mere error of state law is not a denial of due process") (quotations omitted).

Plaintiff, therefore, was authorized to file a written grievance regarding any perceived mistake of fact found in the Discharge Review Report. California law also explicitly provides that a "supervised person who wishes to submit a grievance . . . shall do so in writing to the Office of Grievances in the parole region where they are supervised." 15 Cal. Code Regs. § 3482(a)(2). Thereafter, a "claimant who wishes to appeal a decision or remedy issued by an Office of Grievances shall do so in writing by submitting a CDCR Form 602-2 . . . directly to the Office of Appeals by regular mail sent to the address indicated on the form or by electronic kiosk or tablet, if available." 15 Cal. Code Regs. § 3484(a). Where the appeal is denied on the merits, the administrative remedies process is exhausted. *See* 15 Cal. Code Regs. § 3485(l)(5)(A).

Although Plaintiff vaguely claims that he was denied a liberty interest without due process, ECF No. 1 ¶ 59, procedure safeguards were available; he simply didn't avail himself of the provided procedure. Accordingly, Plaintiff does not state a procedural due process claim.

2. Bane Act Claim

Plaintiff's third claim alleges violation of California's Bane Act. ECF No. 1 at 17-18. Section 52.1 of that Act provides a private right of action for damages against any person, "whether or not acting under color of law," who "interferes" or "attempts to interfere by threat, intimidation, or coercion, with the exercise or enjoyment by any individual or individuals of rights secured by the Constitution or laws of the United States, or of the rights secured by the Constitution or laws [of California]." Cal. Civ. Code § 52.1 The "essence of a Bane Act claim is that the defendant, by the specified improper means (i.e., 'threats, intimidation or coercion'), tried to or did prevent the plaintiff from doing something he or she had the right to do under the law or to force the plaintiff to do something that he or she was not required to do under the law." *Austin B. v. Escondido Union School Dist.*, 149 Cal. App. 4th 860, 883 (2007).

To state a claim under the Bane Act, a plaintiff must allege that: "(1) Defendants interfered with Plaintiff['s] constitutional or statutory rights; and (2) that interference was accompanied by actual or attempted threats, intimidation, or coercion." *Campbell v. Feld Ent., Inc.*, 75 F. Supp. 3d 1193, 1211 (N.D. Cal. 2014). If the plaintiff sufficiently alleges that the defendants violated his constitutional or statutory right, only then will "the Court consider whether such interference was the

product of threats, intimidation, or coercion." *Id.*

Plaintiff's Bane Act claim is premised on Defendants violating his rights under California Penal Code § 3008(d)(2), 15 CCR § 3574(f)(1), and the First and Fourteenth Amendments. ECF No. 1 ¶ 61.

California Penal Code § 3008(d)(2) provides that:

> Persons placed on parole on or after July 1, 2012, shall successfully complete a sex offender management program, following the standards developed pursuant to Section 9003, as a condition of parole. The length of the period in the program shall be not less than one year, up to the entire period of parole, as determined by the certified sex offender management professional in consultation with the parole officer and as approved by the court. Participation in this program applies to every person described without regard to when his or her crime or crimes were committed.

15 CCR Section 3574(f)(1) reads:

> When the Containment Team makes a determination to retain a participant in a sex offender management program, the determination shall be supported by good cause, as defined in Section 3000. A determination to retain a supervised person in a sex offender management program shall be stated in writing, signed by the sex offender treatment provider and parole agent on the CDCR Form 3043 Containment Team Meeting / Earned Discharge Consideration Committee (Rev.11/24), which is incorporated by reference. This completed form shall be delivered to the supervised person within 30 calendar days of the CTM and maintained in the supervised person's file. Reasons to retain a supervised person in a sex offender management program may include, but are not limited to:
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> (1) Pursuant to Section 3573, a Level of Service or Case Management Inventory (LS/CMI) score of 11 or higher.

Neither Penal Code § 3008 nor 15 CCR § 3574(f)(1) provide Plaintiff with a statutory right. Instead, § 3008 mandates Plaintiff's participation in a sex offender management program, while the cited regulation establishes the standard for retaining a parolee in such a program. Because the cited statute and regulation do not provide Plaintiff with a statutory right, they cannot properly serve as a basis for liability under the Bane Act. *Cf. Campbell*, 75 F. Supp. 3d at 1213 ("Plaintiffs, however, appear to have invented a statutory right for Bane Act purposes based on the fact that a criminal prohibition exists in California on the willful and malicious obstruction of another's free movement. As Plaintiffs have no civil cause of action under section 647c, the Court declines to allow Plaintiffs

to rely on it as a predicate for a separate civil cause of action."). For the reasons set forth above, Plaintiff has also failed to establish a violation of his First and Fourteenth Amendments.

Plaintiff's Bane Act claim also fails due to the complaint's failure to allege that Defendants interfered through threats, intimidation, or coercion. Plaintiff alleges that his rights were violated by "the practical coercion exerted through HOPE's exclusive gatekeeping role as sole CASOMB-certified provider in Stockton, with knowledge that its non-completion characterization would result in continued GPS monitoring, curfew, and threat of parole violation[.]" ECF No. 1 ¶ 62. Maintaining a blanket-policy under which Plaintiff was allegedly precluded from completing sex offender treatment cannot fairly be characterized as a threat or intimidation, nor does it amount to coercion for purpose of the Bane Act. *See Herrera v. AllianceOne Receivable Mgmt., Inc.*, 170 F. Supp. 3d 1282, 1288 (S.D. Cal. 2016) ("[A] Bane Act claim that relies on a theory of coercion requires allegations of 'such force, either physical or moral, as to constrain [the plaintiff] to do against his will something he would not otherwise have done.'"); *see also Muhammad v. Garrett*, 66 F. Supp. 3d 1287, 1296 (E.D. Cal. 2014), *aff'd sub nom. Muhammad v. City of Bakersfield*, 671 Fed. App'x 982 (9th Cir. 2016) ("In evaluating the threatening or coercive conduct, the Court must consider whether a reasonable person, standing in the shoes of the plaintiff, would have been intimidated by the actions of the defendants and have perceived a threat of violence.") (quotations omitted).

Moreover, the Complaint does not, and cannot, plausibly allege that the requirement that Plaintiff continue to participate in sex offender therapy has any relation to the other conditions of his parole. *See* Cal. Penal Code § 3000.07(a) (requiring a parolee convicted of a "registerable sex offense" to "be monitored by a global positioning system for the term of his or her parole, or for the duration or any remaining part thereof, whichever period of time is less"); *see also Hairston v. Parole Division of Bermuda Dunes, CA*, 2022 WL 2230717, at *3 (C.D. Cal. Apr. 18, 2022) (observing that petitioner's "success on his challenge to the GPS monitoring parole condition would not impact any other condition of his parole . . . ."). There is also no allegation that Defendants Hope or Smith threatened to report a parole violation. Although Plaintiff does allege that he was required to resign from his job "after his parole agent threatened a parole violation for a scheduling conflict with mandatory treatment," ECF No. 1 ¶ 49, no similar allegation is levied against Hope or Smith.

Plaintiff also contends that his rights were violated by intimidation and coercion based on "Palacios's . . . statements labeling Plaintiff as 'disruptive,' a 'ringleader,' and 'abhorrent,' made in front of his parole agents, explicitly linking those characterizations to Plaintiffs protected complaints." ECF No. 1 ¶ 62. Not only do Palacios's statements fall short of offending the First Amendment, as explained above, but her critiques are not threatening or intimidating in nature. *See Muhammad*, 66 F. Supp. 3d at 1296. Accordingly, the Complaint's allegations are insufficient to establish a violation of the Bane Act.

3. Fraud and Negligent Misrepresentation Claim

Plaintiff's fourth cause of action is styled as "Fraud and Negligent Misrepresentation." Notwithstanding his inclusion of the word "negligent," Plaintiff appears to be alleging a claim for either fraudulent concealment or fraudulent misrepresentation. Plaintiff alleges that Defendants misrepresented to Plaintiff and CDCR that he "had an individualized path to treatment completion, and that his non-completion status reflected individualized clinical assessment, and that he had only 'partially completed' homework packets.'" ECF No. 1 ¶ 65. Plaintiff further alleges that Defendants "concealed: (a) the blanket retention policy; (b) the October 18, 2023 Tassone Treatment Completion Plan, which was placed in Plaintiff's file and sent to CDCR but never shown to Plaintiff; and (c) that HOPE's internal policy, not Plaintiff's performance, precluded completion." *Id.*

Plaintiff's claim, whether construed as one for fraudulent misrepresentation or fraudulent concealment claim, fails because Plaintiff does not allege facts showing that Defendants intended to defraud him or that he justifiably relied on any misrepresentation or omission. To state a claim for either fraudulent concealment or fraudulent misrepresentation under California law, a plaintiff is required to allege "'(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e. to induce reliance; (d) justifiable reliance; and (e) resulting damage.'" *DZ Reserve v. Meta Platforms, Inc.*, 96 F.4th 1223, 1233 (9th Cir. 2024) (quoting *Engalla v. Permanente Med. Grp., Inc.*, 15 Cal. 4th 951, 974 (1997)).

For claims based on fraud, a plaintiff must also satisfy the heightened pleading requirements imposed by Rule 9(b) of the Federal Rules of Civil Procedure. *Zetz v. Boston Scientific Corp.*, 398 F. Supp. 3d 700, 713 (E.D. Cal. 2019). That rule provides that "[i]n alleging fraud or mistake, a party

must state with particularity the circumstances constituting fraud or mistake. Malice, intent, knowledge, and other conditions of a person's mind may be alleged generally." Fed. R. Civ. P 9(b). "Rule 9(b) serves not only to give notice to defendants of the specific fraudulent conduct against which they must defend, but also 'to deter the filing of complaints as a pretext for the discovery of unknown wrongs, to protect [defendants] from the harm that comes from being subject to fraud charges, and to prohibit plaintiffs from unilaterally imposing upon the court, the parties and society enormous social and economic costs absent some factual basis.'" *Bly-Magee v. California*, 236 F.3d 1014, 1018 (9th Cir. 2001) (quoting *In re Stac Elec. Sec. Litig.*, 89 F.3d 1399, 1405 (9th Cir. 1996)). Circumstances that must be stated with particularity pursuant to Rule 9(b) include the "time, place, and specific content of the false representations as well as the identities of the parties to the misrepresentations." *Sanford v. Memberworks, Inc.*, 625 F.3d 550, 558 (9th Cir. 2010) (quoting *Edwards v. Marin Park, Inc.*, 356 F.3d 1058, 1066 (9th Cir. 2004)).

Plaintiff alleges that "Defendants made affirmative misrepresentations to Plaintiff and to CDCR, including representations that Plaintiff had an individualized path to treatment completion, that his non-completion status reflected individualized clinical assessment, and that he had only 'partially completed' homework packets." ECF No. 1 ¶ 65. He further alleges that Defendants "concealed: (a) the blanket retention policy; (b) the October 18, 2023 Tassone Treatment Completion Plan, which was placed in Plaintiffs file and sent to CDCR but never shown to Plaintiff; and (c) that HOPE's internal policy, not Plaintiffs performance, precluded completion." *Id.*

These general allegations fail to comply with Rule 9(b)'s particularity requirement. Critically, Plaintiff does not identify the specific individual that made each affirmative misrepresentation or when the misrepresentation occurred. Likewise, he does not specify who was responsible for each act of concealment or when such concealment occurred.

But more fundamentally, the complaint's allegations fail to establish each of the required elements for claims for fraudulent concealment and fraudulent misrepresentation. Specifically, Plaintiff's allegations fail to plausibly allege that any information was concealed, or misrepresentations were made, with the intent to defraud him. Plaintiff's allegations also fail to suggest that he justifiable relied on any false statement or omission. At most, Plaintiff's allegations

indicate Defendants made false statements to CDCR so that the agency would require Plaintiff to remain in sex offender treatment as a condition of his parole—a decision made by CDCR, not Plaintiff. Consequently, Plaintiff has failed to state a claim for both fraudulent concealment and fraudulent misrepresentation.[4]

4. Civil RICO Claim

Plaintiff's last claim alleges violation of the Racketeering Influenced and Corrupt Organization Act ("RICO"), 18 U.S.C. § 1962(c). To state a civil RICO claim, plaintiff is required to allege: "a plaintiff must allege (1) conduct (2) of an enterprise (3) through a pattern (4) of racketeering activity." *Sanford v. MemberWorks, Inc.*, 625 F.3d 550, 557 (9th Cir. 2010). The alleged enterprise must exist "separate and apart from that inherent in the perpetration of the alleged [activity]." *Chang v. Chen*, 80 F.3d 1293, 1300-01 (9th Cir. 1996).

A "pattern of racketeering activity" requires at least two criminal acts proscribed by Title 18 of the United States Code, including, among others, mail fraud, wire fraud, and obstruction of justice. *Id.* These so-called predicate acts, if based on fraudulent conduct, must be alleged with specificity in accordance with Rule(9) of the Federal Rules of Civil Procedure. *Schreiber Distrib. Co. v. Serv-Well Furniture Co.*, 806 F.2d 1393, 1400-01 (9th Cir. 2004). "To avoid dismissal for inadequacy under Rule 9(b)," a plaintiff must "state the time, place, and specific content of the false representations as well as the identities of the parties to the misrepresentation." *Edwards v. Marin Park, Inc.*, 356 F.3d 1058, 1066 (9th Cir. 2004). "A party alleging fraud must 'set forth more than the neutral facts necessary to identify the transaction.'" *Kearns v. Ford Motor Co.*, 567 F.3d 1120, 1124 (9th Cir. 2009) (citing *In re GlenFed, Inc. Sec. Litig.*, 42 F.3d 1541, 1548 (9th Cir. 1994).

Plaintiff alleges that Defendants engaged in three predicate acts: mail fraud, wire fraud, and obstruction. ECF No. 1 at 20. With respect to the alleged mail and wire fraud, Plaintiff simply states that from 2021 to present, Defendants transmitted, both electronically and through the United States

[4] To the extent Plaintiff did intend to assert a negligent misrepresentation claim, he has failed to do so for the same reason he fails to state claims for fraudulent concealment and fraudulent misrepresentation. *See Zetz*, 398 F. Supp. 3d at 712-73 (emphasis added) ("The elements of negligent misrepresentation are: '(1) a misrepresentation of a past or existing material fact, (2) without reasonable grounds for believing it to be true, (3) *with intent to induce another's reliance on the fact misrepresented*, (4) ignorance of the truth and justifiable reliance thereon by the party to whom the misrepresentation was directed, and (5) damages.'").

mail, false reports to CDCR. He does not specify when these reports were transmitted, who sent them, the "specific content of the false representations[, or] . . . the identities of the parties to the misrepresentation.," as required under Rule 9(b). *See Edwards*, 356 F.3d 1058 at 1066. Consequently, the complaint fails to sufficiently allege that Defendants engaged in "a pattern of racketeering activity," which is required to state a civil RICO claim.

IV. CONCLUSION

Plaintiff's is precluded from bringing each of his claims under the doctrine of *res judicata*. Additionally, the complaint fails to allege facts sufficient to state a claim upon which relief may be granted. For these reasons, Defendants' motion to dismiss should be granted, and Plaintiff's complaint should be dismissed without leave to amend.

Dated: September 21, 2026

Respectfully submitted,

SIMS, LAWRENCE & BROGHAMMER

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UNITED STATES DISTRICT COURT

FOR THE NORTHERN DISTRICT OF CALIFORNIA

BRENDAN NGEHSI NEWANFORBI, Plaintiff, v. SHANNON SMITH, LCSW, Chief Executive Officer and Founder of HOPE Program, and individual; and HOPE PSYCHOTHERAPY, INC., d/b/a HOPE PROGRAM, a California corporation, Defendants.	Case No.: 3:26-cv-07504-LJC **DEFENDANTS SHANNON SMITH AND HOPE PROGRAM, A LICENSED CLINICAL SOCIAL WORKER PROFESSIONAL CORPORATION'S REQUEST FOR JUDICIAL NOTICE IN SUPPORT MOTION TO DISMISS** Hearing Date: October 20, 2026 Hearing Time: 10:30 a.m. Court Room: G, 15th Floor Judge: Hon. Lisa J. Cisneros

Defendants Shannon Smith ("Smith") and HOPE Program, A Licensed Clinical Social Worker Professional Corporation ("Hope") (collectively "Defendants"), through their attorney of record, request that the Court take judicial notice pursuant to Federal Rule of Evidence 201(b) of documents filed in California Superior Court of the State of California for the County of San Joaquin in the civil action *Newanforbi v. Palacios*, Case No. STK-CV-UF-2006-0001032 (2026). The documents are "capable of accurate and ready determination by resort to sources whose accuracy cannot be reasonably questioned" and are therefore properly subject to judicial notice. *See United States v. Richie*, 342 F.3d 903, 908-09 (9th Cir. 2003); *Rosales-Martinez*, 753 F.3d 890, 894 (9th Cir.

2014) ("It is well established that [federal courts] may take judicial notice of judicial proceedings in other courts."); *U.S. ex rel. Robinson Rancheria Citizens Council v. Borneo, Inc.*, 971 F.2d 244, 248 (9th Cir. 1992) (internal quotation marks omitted) ("Federal courts may take notice of proceedings in other courts, both within and without the federal judicial system, if those proceedings have a direct relation to the matters at issue.").

Specifically, Defendants request that the Court take judicial notice of the following documents:

1. Plaintiff's First Amended Complaint filed in *Newanforbi v. Palacios*, Case No. STK-CV-UF-2006-0001032 (2026). A true and correct copy of the First Amended Complaint filed in that action is attached hereto as Exhibit A.
2. Defendants Katie Palacio and Hope's Demurrer to Plaintiff's First Amended Complaint filed in *Newanforbi v. Palacios*, Case No. STK-CV-UF-2006-0001032 (2026). A true and correct copy of the Demurrer to the First Amended Complaint filed in that action is attached hereto as Exhibit B.
3. The state court's July 15, 2026 order sustaining demurrer to First Amended Complaint without leave to amend on the grounds that the First Amended Complaint fails to allege facts sufficient to state any cause of action, filed in *Newanforbi v. Palacios*, Case No. STK-CV-UF-2006-0001032 (2026). A true and correct copy of the July 15, 2026 Order filed in that action is attached hereto as Exhibit C.

Dated: September 21, 2026

SIMS, LAWRENCE & BROGHAMMER

By: Cynthia G. Lawrence

CYNTHIA G. LAWRENCE
BLAZE VAN DINE
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Attorneys for Defendants,
SHANNON SMITH AND HOPE PROGRAM, A LICENSED CLINICAL SOCIAL WORKER PROFESSIONAL CORPORATION (sued and served as HOPE PSYCHOTHERAPY, INC.)

EXHIBIT A

BRENDAN NGEHSI NEWANFORBI
Plaintiff, In Pro Per
1455 Cat Tail Drive
Stockton, CA 95204
Telephone: (209) 801-4442
E-mail: bnn.cdl@gmail.com

FILED
SUPERIOR COURT SAN JOAQUIN
2026 APR 22 P 2:55
STEPHANIE BONNER, CLERK
BY MIA STIPE
DEPUTY

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF SAN JOAQUIN

BRENDAN NGEHSI NEWANFORBI,

Plaintiff,

v.

KATIE PALACIOS, an individual; HOPE PSYCHOTHERAPY, INC., d/b/a HOPE PROGRAM, a California corporation; and DOES 1-10, inclusive,

Defendants.

Case No. STK-CV-UF-2026-0001032

FIRST AMENDED COMPLAINT FOR DAMAGES, DECLARATORY, AND INJUNCTIVE RELIEF

(1) Fraud / Intentional Misrepresentation; (2) Negligence (incl. Negligence Per Se); (3) Intentional Infliction of Emotional Distress; (4) Intentional Interference with Prospective Economic Advantage; (5) Violation of Bane Act (Civ. Code § 52.1); (6) Declaratory Relief; (7) Violation of Bus. & Prof. Code § 17200 (Unfair Competition Law)

DEMAND FOR JURY TRIAL

Filed of right pursuant to CCP § 472(a).
Assigned: Hon. George J. Abdallah, Dept. 10A
CMC: October 13, 2026, 8:45 a.m.

INTRODUCTION

1. This is an action for damages, declaratory, and injunctive relief against HOPE Psychotherapy, Inc. (**HOPE**), a private for-profit California corporation, and its Stockton site Director, Katie Palacios (**Palacios**). HOPE contracts with the California Department of Corrections and Rehabilitation (**CDCR**) to provide California Sex Offender Management Board (**CASOMB**)-certified treatment to parolees. Plaintiff is a CDCR parolee and HOPE participant

since on or about March 5, 2021. This is not an action against the State. It is an action against a private company and its managing agents for misrepresenting to Plaintiff and to CDCR that HOPE's treatment program offers an individualized, achievable path to completion when in fact HOPE applies a uniform blanket retention policy that makes completion impossible for any participant prior to parole discharge—a policy the Superior Court of San Mateo County judicially condemned in *In re Dwyer*, No. SC-080355A (Mar. 20, 2023) (Hill, J.), and that violates 15 CCR § 3574(f)(1) effective April 17, 2025.

PARTIES

1. Plaintiff Brendan Ngehsi Newanforbi (**Plaintiff**) is, and at all relevant times was, a natural person residing in San Joaquin County, California, supervised out of the Stockton 2 GPS parole unit, and a holder of a Class A Commercial Driver's License (**CDL**).

2. Defendant Katie Palacios is, and at all relevant times was, the site Director of the HOPE Stockton facility located at 5403 N. Pershing Ave., Suite 200, Stockton, CA 95207, a Licensed Marriage and Family Therapist (LMFT License No. 44555), and a CASOMB-certified provider. As site Director, Palacios held supervisory authority over treatment determinations, phase-progression decisions, treatment-completion characterizations, and the form and content of communications transmitted to CDCR concerning Plaintiff. Palacios is sued individually and as a *managing agent* of HOPE within the meaning of Civil Code § 3294(b).

3. Defendant HOPE Psychotherapy, Inc., d/b/a HOPE Program, is a California corporation that, at all relevant times, has been a CASOMB-certified provider contracting with CDCR's Division of Adult Parole Operations (**DAPO**) to deliver mandatory sex-offender treatment under Penal Code § 3008 and 15 CCR § 3574.

4. Defendants DOES 1-10 are HOPE clinicians, supervisors, managing agents, and

executives whose true names are presently unknown to Plaintiff. Plaintiff is informed and believes each Doe Defendant is responsible for the wrongs alleged and will amend this complaint to state their true names and capacities when ascertained. At all times, each Defendant was the agent, employee, joint venturer, alter ego, and/or co-conspirator of every other Defendant, acting within the course and scope thereof with the consent, knowledge, and ratification of every other Defendant.

JURISDICTION AND VENUE

1. This Court has subject-matter jurisdiction. The amount in controversy exceeds $25,000, exclusive of interest, costs, and equitable relief. Venue is proper in San Joaquin County under CCP §§ 395 and 395.5: the wrongful acts and omissions occurred at the HOPE Stockton facility and at the Stockton parole unit; Palacios works in San Joaquin County; and Plaintiff resides in San Joaquin County.

GENERAL ALLEGATIONS

A. Statutory and Regulatory Framework

1. Penal Code § 3008(d)(2) requires that a sex-offender parolee *successfully complete a sex offender management program* as a condition of parole, and that *[t]he length of the period in the program shall be not less than one year, up to the entire period of parole, as determined by the certified sex offender management professional in consultation with the parole officer and as approved by the court.* The statute thus sets one year as the floor and the entire parole period as the ceiling, with completion to be determined by individualized clinical judgment. Effective April 17, 2025, 15 CCR § 3574(f)(1) provides that *[t]reatment completion and parole discharge are legally separate decisions.*

2. CASOMB's Treatment Completion Guidelines (2018) require *structured clinical judgment* considering risk level, criminogenic needs, individual factors, predicted trajectory, and containment-team judgment, and direct that the determination be a *YES-or-NO conclusion about whether treatment has been completed.* CASOMB's Maintenance and Aftercare Guidelines (Sept. 2024) require that *discharge planning starts at intake* and that *the final determination regarding whether an individual has 'completed' treatment should never come as a surprise to the client.*

B. HOPE's Blanket Retention Policy

1. Notwithstanding the foregoing, HOPE applies a blanket retention policy under which no parolee is determined to have *completed* treatment prior to discharge from parole. HOPE's four-phase structure (preparatory, core, maintenance, aftercare) is designed so that aftercare is treated as mandatory for parolees and only *voluntary* post-discharge. The structure makes completion impossible while a participant remains on parole, regardless of clinical progress, compliance, or risk score.

2. HOPE's policy was judicially condemned in *In re Dwyer*, No. SC-080355A (San Mateo County Super. Ct., March 20, 2023) (Hill, J.). HOPE's own Executive Director of Clinical Training, Dr. Cristina Loree, testified under oath that HOPE requires continuous treatment for all parolees until discharge. The court found the policy *vitiates the Legislature's directive* under Penal Code § 3008(d)(2) and exercised its statutory authority to fix the petitioner's required treatment as terminating short of the full parole term. Plaintiff requests judicial notice of *Dwyer* under Evidence Code §§ 452(d), 453. The *Dwyer* order is a San Mateo County habeas corpus decision that was not provided to Plaintiff by HOPE or CDCR and was not otherwise readily accessible to Plaintiff.

3. HOPE knew of *Dwyer* no later than March 20, 2023, because its own Executive Director of Clinical Training was the witness whose sworn testimony established the policy.

Despite *Dwyer*—and despite the April 17, 2025 effective date of 15 CCR § 3574(f)(1)—HOPE, under Palacios's direction at the Stockton facility, continued to apply the identical blanket retention policy to Plaintiff in 2023, 2024, 2025, and through the most recent containment team meeting on or about February 2026. HOPE's continuation of the policy is driven by financial incentive: each retained parolee generates approximately $10,600 annually in baseline group and CTM revenue; there is no fee for completion; discharge terminates the revenue.

C. Direct Misrepresentations to Plaintiff

1. On or about March 5, 2021, when Plaintiff was directed to enroll at HOPE, HOPE represented to Plaintiff, through its intake clinician at HOPE's Stockton facility, its intake materials, treatment contract, and verbal orientation, that HOPE would maintain an individualized written treatment plan, assess Plaintiff's progress against that plan, and move Plaintiff through phases based on individualized clinical performance, and that if Plaintiff complied with treatment and completed assignments he would have a meaningful, achievable path to completion during his parole term.

2. From in or about 2021 through 2023, Plaintiff's assigned HOPE clinician was Pamela Akins (**Akins**). On or about November 2022, during an in-person HOPE group session at HOPE's Stockton facility (5403 N. Pershing Ave., Suite 200, Stockton, CA 95207), in the presence of other group participants, Akins represented to Plaintiff that the HOPE program had objective, individualized criteria for phase advancement and treatment completion; that Plaintiff's progress would be assessed against those criteria; and that if Plaintiff completed the assigned work he would be able to complete treatment before the end of his parole term. Akins did not disclose, then or at any other time, that HOPE's actual policy is to retain every parolee in treatment until parole discharge regardless of clinical progress.

3. In or about January 2024, during a HOPE group session at the Stockton facility, a

HOPE clinician acting under the supervision and direction of Palacios stated in substance that individuals are *titrating* and *completing the HOPE program,* and that participants who complete their assignments and comply with treatment can titrate and complete. This representation conveyed that sex-offender parolees can and do complete HOPE's program prior to discharge from parole. The clinician did not disclose that HOPE's blanket retention policy forecloses completion for all parolees prior to discharge, regardless of their individual progress.

4. On or about June 2024, during an individual session at HOPE's Stockton facility, a HOPE clinician acting under the supervision and direction of Palacios stated to Plaintiff that she had personally checked with Defendant Palacios regarding Plaintiff's previously submitted and completed homework packets and was informed by Palacios that no homework completed by Plaintiff had ever been found in HOPE's records. The clinician communicated this to Plaintiff as a factual determination—that HOPE possessed zero record of Plaintiff ever having completed any assigned homework.

5. The statement made in June 2024 was false. Plaintiff had, in fact, consistently and fully completed all assigned homework modules and submitted them to HOPE staff throughout his enrollment since 2021. As Palacios herself later admitted in a recorded group session in August 2025 (see paragraph 22 below), HOPE routinely loses client homework packets. The assertion that *no homework had ever been found as completed* was not an accurate reflection of Plaintiff's performance but rather a product of HOPE's own disorganized recordkeeping, falsely attributed to Plaintiff as a failure to complete work.

6. At no time during intake, group sessions, individual sessions, or containment-team meetings did HOPE, Palacios, Akins, or any other HOPE clinician disclose to Plaintiff that HOPE maintained a blanket retention policy under which no parolee would ever be determined to have completed treatment prior to discharge from parole. The existence of this policy was intentionally concealed from Plaintiff.

D. Misrepresentations to CDCR and Homework Mischaracterizations

1. From 2021 through the present, in connection with each semi-annual Containment Team Meeting (**CTM**)—held on or about February and August of each year through the most recent CTM in February 2026—Palacios prepared and submitted treatment-status content to CDCR using CDCR Form 3043 (Containment Team Meeting / Earned Discharge Consideration Committee) and contributed to CDCR's Discharge Review Report (CDCR Form 1502-DR).

2. Palacios's CTM submissions included representations in substance that *Subject partially participates in discussion. Subject has partially completed homework packets. Subject demonstrates partial understanding of the subject material. Subject is fixated on lawsuits instead of subject material,* and characterized Plaintiff's status as *not completed* sex-offender treatment. These submissions were transmitted at each CTM cycle to Plaintiff's parole agents of record, including without limitation Agents Magana, Arestad, Acierto, Urrea, and Long Moua (Badge 7472), and to supervising parole agents including Agent Gary Noguchi (Badge 7284).

3. In fact, by the time of each CTM from at least November 2022 forward, Plaintiff had completed all assigned homework packets for the relevant CTM periods and timely submitted them to HOPE staff. On or about August 2025, during a HOPE group session at the Stockton facility that was recorded on video, Palacios stated in substance that HOPE *routinely* loses client homework packets. Palacios's admission confirms that her repeated CTM characterizations of Plaintiff as having only *partially completed homework packets* reflected HOPE's loss or mishandling of completed work, not Plaintiff's performance, and were false.

4. The November 2025 1502-DR (signed by Agent Moua on November 14, 2025 and Unit Supervisor Noguchi on November 19, 2025) incorporated HOPE's reporting expressly: *Subject's Sex Offender Treatment Progress (HOPE): 10/15/2024 Stable 6/LSCMI 5. Level 2 below average*

Risk ... Core Phase of treatment and working in Block 1 Module 4/7 ... HOPE SOT recommends continued treatment ... Continued DAPO supervision is warranted and recommended. The agent recommendation was *Discharge Denied/No Action.*

5. Palacios's representations to CDCR—including that Plaintiff had only *partially completed homework packets* and had *not completed* treatment—were false. They were the predetermined output of HOPE's blanket retention policy, and of HOPE's own routine loss of homework packets, not the product of individualized clinical assessment of Plaintiff's actual performance. Palacios knew, by reason of her position as site Director, Dr. Loree's testimony in *Dwyer*, and her own August 2025 admission on camera that HOPE routinely loses homework, that HOPE's policy forecloses completion for every participant prior to discharge and that Plaintiff's homework was complete.

E. CDCR's Reliance and But-For Causation

1. CDCR justifiably relied on HOPE's representations because (a) HOPE was the sole CASOMB-certified provider serving the Stockton region, with no alternative provider available to Plaintiff, and (b) DAPO institutionally defers to the treatment provider's determinations of progress and completion. Plaintiff's parole agents Magana, Arestad, Acierto, Urrea, and Moua have each separately stated to Plaintiff, in substance, that *HOPE controls*—that without *sex-offender completion* there will be *no discharge from parole.* The November 2025 1502-DR confirms this institutional deference on its face by relying on HOPE's recommendation as the treatment-based predicate for *Continued DAPO supervision.* But for HOPE's non-completion characterization and its repeated false *partial homework* reports, the November 2025 discharge review would not have had the treatment-based justification on which it expressly rested.

F. August 2025 Retaliatory CTM Statements

1. In or about August 2025, during a CTM held at a CDCR parole office in Stockton, in the presence of Agent Chow, Agent G. Noguchi (Badge 7284), Agent A. Derrick (Badge 6910), and a then-supervising parole agent (now retired), Palacios stated, in substance, that Plaintiff was *disruptive during HOPE group sessions,* a *ringleader,* that his behavior was *abhorrent,* and that he was *often disrespectful to [her] staff,* and characterized Plaintiff's respectful demeanor at the CTM as an *acting job.* Palacios further stated, in substance: *because when you start complaining then the other guys chime in.* These statements were false. Plaintiff's conduct in group consisted of raising legitimate concerns about prolonged retention, the routine loss of completed homework, and disruption from repeated clinician turnover and group resets. Other participants who independently shared similar concerns were falsely attributed to Plaintiff's *influence.*

G. Plaintiff's Specific Economic Harm

1. Plaintiff is a Class A CDL holder. Commercial trucking—particularly long-haul and regional routes—requires the ability to travel without geographic restrictions, maintain flexible schedules, and operate free from monitoring equipment and mandatory treatment attendance. Plaintiff repeatedly informed Palacios, Akins, and other HOPE staff, during individual and group sessions in 2021 through 2026, of his CDL status and of specific employment relationships that conflicted with HOPE's mandatory schedule. Among other communications: (a) in or about January 2022, after Plaintiff missed a HOPE group session in connection with a long-haul assignment for United Road, his then-parole agent (Arestad) threatened to violate Plaintiff's parole and incarcerate him for missing the HOPE session, and Plaintiff was thereby forced to resign from United Road; and (b) in or about February 2022, Plaintiff disclosed to Akins that he was working for Keurig Dr Pepper as a CDL driver and identified specific bi-weekly days on which he was required to be off-duty in order to attend HOPE sessions.

2. Plaintiff had active, recurring economic relationships with the following commercial carriers, among others: United Road, Keurig Dr Pepper, Tiger Lines LLC, US-1 Shorthaul, Lazer

Spot, Inc., and Centerline Drivers. Plaintiff's federal W-2 wage statements document the existence and recurring nature of these relationships. As a result of HOPE's non-completion characterizations and the resulting parole-supervision conditions (mandatory HOPE attendance, GPS, curfew, and geographic restrictions), Plaintiff was forced to resign from his United Road position in January 2022 and was forced to turn down specific dispatches that fell on HOPE group-session days. The year-by-year difference between Plaintiff's but-for CDL earning capacity ($72,000/year) and his actual, supervision-suppressed W-2 earnings—$32,447 lost in 2022, $60,855 lost in 2023, and $16,106 lost in 2024—totals no less than $109,408 for 2022-2024, with continuing losses accruing thereafter at approximately $6,000 per month.

3. HOPE owed Plaintiff an independent duty of care. Plaintiff was a captive client of HOPE: HOPE was the sole CASOMB-certified provider in his region; Plaintiff had no alternative provider; CDCR delegated to HOPE the de facto exclusive authority to make the treatment-status determinations on which discharge decisions rested; and HOPE knew its representations would be communicated to and acted upon by CDCR. Under these circumstances, HOPE undertook a special relationship within the meaning of *Giraldo v. California Dep't of Corrections & Rehabilitation* (2008) 168 Cal.App.4th 231, and assumed an independent duty to perform its assessment and reporting functions with reasonable, individualized clinical care.

FIRST CAUSE OF ACTION

(Fraud / Intentional Misrepresentation — Against All Defendants)

1. Plaintiff incorporates paragraphs 1 through 27 as though fully set forth herein.

2. Defendants made the following misrepresentations of material fact directly to Plaintiff:

a. **Intake Representations (March 2021):** Through intake materials, treatment

contract, and verbal orientation at HOPE's Stockton facility, HOPE represented that it would maintain an individualized written treatment plan for Plaintiff, assess Plaintiff's progress against the plan, and move Plaintiff through phases based on individualized clinical performance, conveying that there was a meaningful, achievable path to completion during Plaintiff's parole term.

b. **Akins Group Representation (November 2022):** On or about November 2022, during an in-person group session at HOPE's Stockton facility, clinician Pamela Akins represented to Plaintiff that HOPE applied objective, individualized criteria to phase advancement and treatment completion and that Plaintiff had a meaningful, achievable path to completion.

c. **January 2024 Group Representation:** On or about January 2024, during a group session at HOPE's Stockton facility, a HOPE clinician acting under the supervision and direction of Palacios represented to Plaintiff and other group participants that *individuals are titrating and completing the HOPE program,* falsely conveying that parolees enrolled at HOPE can and do successfully complete the program and obtain a treatment-completion determination while still on parole.

d. **June 2024 Individual Session Representation:** On or about June 2024, during an individual session at HOPE's Stockton facility, a HOPE clinician acting under the supervision and direction of Palacios falsely informed Plaintiff that she had checked with Defendant Palacios and that no homework completed by Plaintiff had ever been found in HOPE's records.

e. **CTM 'Partial Homework' Representations (November 2022-Present):** Beginning no later than November 2022, and continuing at each semi-annual CTM through at least February 2026, Palacios represented in CTM documentation and related

communications to CDCR that Plaintiff had *partially completed homework packets,* when in fact Plaintiff had completed all assigned homework.

3. Defendants' misrepresentations were directed both to Plaintiff, to induce his continued participation and forbearance from legal action, and to CDCR, to induce continued parole supervision based on a false portrayal of Plaintiff's performance and completion status.

4. Defendants further intentionally concealed from Plaintiff the existence and operation of HOPE's blanket retention policy, under which no parolee can be determined to have completed treatment prior to parole discharge regardless of clinical progress, and the fact that HOPE's internal policy—not Plaintiff's individual performance—precluded completion. Defendants also concealed that HOPE routinely lost homework packets, while attributing *partial completion* to Plaintiff.

5. The foregoing representations and omissions were false and material. HOPE's actual operating policy was, and is, the blanket retention policy judicially condemned in *Dwyer*; no parolee is determined to have completed treatment prior to discharge from parole. Plaintiff's homework packets were in fact fully completed and submitted; any absence from HOPE's files was the product of HOPE's own loss or mishandling, not Plaintiff's non-performance. Defendants knew these representations were false: HOPE's blanket retention policy was admitted under oath by HOPE's Executive Director of Clinical Training in *Dwyer* in March 2023; the Superior Court found that the policy *vitiates the Legislature's directive* in Penal Code § 3008(d)(2); Palacios, as Stockton site Director, implemented and oversaw that policy with full knowledge of its operation; and Palacios personally admitted in August 2025 that HOPE routinely loses client homework packets.

6. Defendants made the misrepresentations and concealments with the intent that Plaintiff would rely on them by enrolling in and remaining in HOPE's program, continuing to complete

homework and attend sessions even after years of retention and phase looping, structuring his CDL employment around HOPE's schedule, refraining from seeking alternative providers, and foregoing earlier judicial relief under Penal Code § 3008(d)(2). Defendants further intended that CDCR would rely on HOPE's *partial homework* and *non-completion* characterizations in CTM reports and discharge reviews so that Plaintiff would remain in treatment and on parole, preserving HOPE's fee-for-service revenue from his mandated participation.

7. Plaintiff justifiably relied on Defendants' misrepresentations and omissions as follows:

a. **Enrollment and Continued Participation:** Plaintiff enrolled in HOPE and continuously participated from March 2021 through the present, attending twice-weekly groups, individual sessions, and semi-annual CTMs, incurring travel and time costs, rather than seeking referral to an alternative CASOMB-certified provider or pursuing earlier judicial relief under Penal Code § 3008(d)(2).

b. **Forbearance from Legal Action (2022-2024):** By November 2022, Plaintiff had been enrolled in HOPE for more than one year—the statutory minimum treatment period under Penal Code § 3008(d)(2)—and was legally eligible to seek judicial review of his continued retention or file a habeas petition challenging the absence of an individualized completion determination. Plaintiff considered doing so but reasonably refrained from filing in 2022, 2023, and the first half of 2024 because Akins's November 2022 representations, the January 2024 group representations, and HOPE's ongoing assurances led Plaintiff to believe he was progressing along a defined path to completion and that continuing to participate, rather than litigating, was the appropriate route to discharge. Plaintiff understood comments about *partial completion* of homework as indicating he needed to do more or better work, not that HOPE had lost his completed packets. Plaintiff did not discover the impossibility of completion until he reviewed the *Dwyer* order and related materials in or about late 2025; the *Dwyer* order is a San Mateo

County habeas corpus decision that was not provided to Plaintiff by HOPE or CDCR and was not otherwise readily accessible to him. Had Plaintiff known in November 2022 or January 2024 that completion was structurally impossible, he would have filed for judicial relief at that time rather than waiting until 2026.

c. **Response to June 2024 Representation:** In justifiable reliance on the false statement that HOPE had no record of his completed homework, Plaintiff redoubled his efforts to maintain personal copies of all submitted homework, continued to submit all future assignments believing the issue was a correctable documentation error on his part, and refrained from escalating his concerns to CDCR or filing a habeas petition in mid-2024. Had Plaintiff known the truth—that HOPE was losing his work and that the missing records were a result of HOPE's own systemic failures—he would have ceased this futile effort and pursued immediate judicial intervention.

d. **CDL Employment Sacrifices:** Plaintiff repeatedly informed Palacios, Akins, and other HOPE staff during individual and group sessions in 2021 through 2026 of his CDL status and of specific employment relationships that conflicted with HOPE's mandatory schedule. In reliance on Defendants' representations that adherence to the program would lead to completion and discharge, Plaintiff prioritized HOPE attendance over CDL employment opportunities. Specifically:

i. In or about January 2022, after Plaintiff missed a HOPE group session in connection with a long-haul assignment for United Road, his then-parole agent (Arrestad) threatened to violate Plaintiff's parole and incarcerate him for missing the HOPE session. Believing that strict compliance with HOPE's schedule was necessary to achieve completion and eventual discharge, Plaintiff was forced to resign from his United Road position.

ii. In or about February 2022, Plaintiff disclosed to Akins that he was working for Keurig Dr Pepper as a CDL driver and identified specific bi-weekly days on which he was required to be off-duty in order to attend HOPE sessions. Plaintiff accepted lower-earning, local routes and turned down long-haul work because he believed that strict adherence to HOPE's schedule would result in earlier completion and thus earlier lifting of GPS/curfew constraints.

e. **Continued Homework Submission:** Despite being told in June 2024 that no record of his homework existed, Plaintiff continued to complete and submit all assigned homework packets from June 2024 through the present, believing that his individual effort would be recognized and credited toward completion.

8. As a direct and proximate result of Defendants' fraud, Plaintiff remained in HOPE's program and on parole supervision longer than he otherwise would have; suffered denial of discharge in November 2025 based in substantial part on HOPE's *non-completion* and *partial homework* characterizations; lost at least $109,408 in CDL wages from 2022-2024 alone, with additional losses accruing at approximately $6,000 per month; incurred costs of compliance with the supervision conditions that HOPE's false reports caused to be imposed; and suffered severe emotional distress, including anxiety, humiliation, sleep disruption, and stigma associated with being trapped in a program he later learned was structurally incapable of certifying completion.

9. Defendants' conduct was malicious, oppressive, and fraudulent within the meaning of Civil Code § 3294. Defendants continued the blanket retention policy after *Dwyer* judicially condemned it in March 2023 and after the April 17, 2025 effective date of 15 CCR § 3574(f)(1); Palacios knowingly mischaracterized Plaintiff's homework and treatment status while admitting that HOPE routinely loses homework; and the wrongful acts were committed, authorized, and ratified by HOPE's *managing agents,* including Palacios as Stockton site Director with supervisory authority over treatment determinations and HOPE's Executive Director of Clinical

Training. Plaintiff is entitled to punitive damages.

SECOND CAUSE OF ACTION

(Negligence, Including Negligence Per Se — Against All Defendants)

1. Plaintiff incorporates paragraphs 1 through 36 as though fully set forth herein.

2. As alleged in paragraph 27, HOPE and Palacios undertook a special relationship with Plaintiff and assumed an independent duty of care, including duties to: (a) maintain an individualized written treatment plan; (b) assess Plaintiff's progress against objective clinical criteria; (c) accurately report Plaintiff's clinical status and homework completion to CDCR; (d) refrain from applying a blanket policy that forecloses completion; and (e) exercise reasonable care in maintaining and tracking client homework records.

3. **Negligence Per Se.** HOPE's blanket retention policy violated, and continues to violate, Penal Code § 3008(d)(2) (by converting the statutory ceiling into a mandatory floor) and 15 CCR § 3574(f)(1) (by collapsing legally separate decisions into one). These provisions were enacted to protect the class of persons to which Plaintiff belongs (parolees in mandatory sex-offender treatment) from the kind of harm that occurred here (indefinite, non-individualized retention with attendant deprivations of liberty and earning capacity). Evid. Code § 669. Defendants' failure to maintain accurate homework records and their false reporting of *partial completion* further violated the standard of care applicable to licensed clinical professionals.

4. Defendants breached these duties as alleged in paragraphs 9-11, 15-16, 19-22, and 24. Defendants' breaches were a substantial factor in causing Plaintiff harm: parole agents and supervisors expressly relied on HOPE's *non-completion* characterization in the 1502-DR (*HOPE SOT recommends continued treatment ... Continued DAPO supervision is warranted and*

recommended); Plaintiff was forced to resign from United Road and to turn down specific dispatches; and Plaintiff sustained measured wage losses of no less than $109,408 for 2022-2024 with continuing losses, costs of compliance, and severe emotional distress.

THIRD CAUSE OF ACTION

(Intentional Infliction of Emotional Distress — Against All Defendants)

1. Plaintiff incorporates paragraphs 1 through 40 as though fully set forth herein.

2. Defendants engaged in extreme and outrageous conduct, including:

a. The continued, knowing application to Plaintiff of a blanket retention policy that had been judicially condemned in *Dwyer* in March 2023 and that, as of April 17, 2025, violates 15 CCR § 3574(f)(1);

b. The false characterization to CDCR of Plaintiff's status as *not completed* with knowledge that the characterization was a policy output, not a clinical judgment, and with knowledge that CDCR would rely on it to deny discharge;

c. The repeated false reporting to CDCR that Plaintiff had only *partially completed homework packets,* when Defendants knew Plaintiff had completed all assignments and that HOPE routinely lost client packets;

d. The June 2024 false statement that no record of Plaintiff's completed homework existed, which was calculated to cause Plaintiff to believe his years of effort had been futile and that he bore responsibility for HOPE's recordkeeping failures; and

e. Palacios's August 2025 CTM statements falsely accusing Plaintiff of being *disruptive,* a *ringleader,* and *abhorrent,* made in retaliation for Plaintiff's protected complaints, in front of his parole agents, during a meeting that determined his liberty.

3. Defendants' conduct was directed at Plaintiff and was intentional and/or undertaken with reckless disregard of the probability that Plaintiff would suffer severe emotional distress. Defendants knew that Plaintiff's liberty depended on HOPE's characterizations and knew that falsely reporting his progress, falsely denying the existence of his completed work, and retaliating against him in front of his parole agents would foreseeably cause severe distress.

4. As a direct and proximate result, Plaintiff suffered severe emotional distress, including but not limited to anxiety, depression, feelings of helplessness, and mental anguish. Plaintiff is entitled to compensatory and punitive damages.

FOURTH CAUSE OF ACTION

(Intentional Interference with Prospective Economic Advantage — Against All Defendants)

1. Plaintiff incorporates paragraphs 1 through 44 as though fully set forth herein.

2. **Existing economic relationships with probability of future benefit.** Plaintiff had active, recurring economic relationships with the following commercial carriers: United Road, Keurig Dr Pepper, Tiger Lines LLC, US-1 Shorthaul, Lazer Spot, Inc., and Centerline Drivers. Plaintiff possessed the required Class A CDL credential, and CDL drivers were and are in high demand. Federal W-2 wage statements document the existence and recurring nature of these relationships.

3. **Defendants' knowledge.** Defendants had actual knowledge of these specific economic

relationships through Plaintiff's intake forms, treatment participation, and individual and group sessions, including Plaintiff's February 2022 disclosure to Akins of his Keurig Dr Pepper position and bi-weekly off-day requirements, and Plaintiff's January 2022 communications regarding the United Road long-haul assignment.

4. **Independently wrongful conduct.** Defendants engaged in independently wrongful conduct, including (a) the fraud alleged in the First Cause of Action; (b) the violations of Penal Code § 3008(d)(2) and 15 CCR § 3574(f)(1) alleged in paragraph 39; (c) the false defamatory CTM statements alleged in paragraph 24; and (d) the false reporting of *partial homework completion* and denial of completed homework records.

5. **Intent and disruption.** Defendants' wrongful conduct was designed to disrupt Plaintiff's economic relationships, or, in the alternative, was undertaken with knowledge that disruption was substantially certain given Defendants' knowledge of the supervision conditions that would result. Plaintiff was forced to resign from his United Road position in January 2022, was forced to turn down specific dispatches that conflicted with mandatory HOPE sessions, and was unable to accept long-haul positions requiring unrestricted travel. Plaintiff has suffered economic damages of no less than $109,408 for 2022-2024 with continuing losses.

FIFTH CAUSE OF ACTION

(Violation of Bane Act, Civ. Code § 52.1 — Against All Defendants)

1. Plaintiff incorporates paragraphs 1 through 49 as though fully set forth herein.

2. Plaintiff possesses statutory rights under Penal Code § 3008(d)(2)—the right to a non-arbitrary, individualized clinical determination of treatment length and completion based on the criteria the Legislature established—and under 15 CCR § 3574(f)(1)—the right to have

treatment-completion and parole-discharge maintained as legally separate decisions.

3. Defendants interfered, or attempted to interfere, with these rights through threats, intimidation, or coercion, including:

a. The practical coercion exerted through HOPE's exclusive gatekeeping role and HOPE's knowledge that its *non-completion* and *partial homework* characterizations would result in continued GPS monitoring, curfew, and threat of parole violation;

b. Palacios's August 2025 retaliatory and defamatory CTM statements, made with the foreseeable consequence of intimidating Plaintiff into curtailing his protected expression of complaints about the program; and

c. The coercive linkage between Plaintiff's acceptance of the non-individualized blanket retention policy and his avoidance of parole-violation consequences.

4. Palacios's August 2025 statements constituted intimidation because a reasonable person in Plaintiff's position would have been deterred from exercising his right to complain about treatment conditions for fear of adverse parole consequences. Plaintiff is entitled to actual damages, statutory damages of $25,000 for each violation, attorney's fees and costs to the extent permitted by Civil Code § 52.1(i), and injunctive relief.

SIXTH CAUSE OF ACTION

(Declaratory Relief — Against All Defendants)

1. Plaintiff incorporates paragraphs 1 through 53 as though fully set forth herein.

2. An actual controversy has arisen and now exists between Plaintiff and Defendants concerning the lawfulness of HOPE's blanket retention policy as applied to Plaintiff. Plaintiff contends, and Defendants deny, that HOPE's blanket retention policy—under which no parolee can be determined to have *completed* treatment prior to parole discharge regardless of clinical progress—is unlawful as applied to Plaintiff because it (a) converts the durational ceiling of Penal Code § 3008(d)(2) into a mandatory floor; (b) violates 15 CCR § 3574(f)(1)'s requirement that treatment completion and parole discharge be maintained as legally separate decisions; and (c) violates CASOMB's Treatment Completion Guidelines (2018) and Maintenance and Aftercare Guidelines (Sept. 2024) requirements of individualized assessment.

3. The controversy is capable of repetition yet evading review as to Plaintiff because HOPE continues to apply the same policy to Plaintiff and will submit further treatment characterizations to CDCR in future discharge reviews. Plaintiff seeks a judicial declaration of his rights and Defendants' duties, and a permanent injunction requiring HOPE to conduct an individualized assessment of Plaintiff's eligibility for treatment completion based on published, objective clinical criteria, free from the blanket retention policy.

SEVENTH CAUSE OF ACTION

(Violation of Business & Professions Code § 17200 — Unfair Competition Law — Against All Defendants)

1. Plaintiff incorporates paragraphs 1 through 56 as though fully set forth herein.

2. Defendants' business practice of applying a blanket retention policy that violates Penal Code § 3008(d)(2) and 15 CCR § 3574(f)(1) constitutes an unlawful business act under Business & Professions Code § 17200. Defendants' practice of falsely reporting *partial homework completion* and failing to maintain accurate client records while attributing missing records to clients constitutes an additional unlawful and unfair business act. Said practices are also unfair

because the financial incentive to retain clients indefinitely outweighs any legitimate clinical justification, and the harm to Plaintiff (loss of liberty and wages) outweighs any utility of the policy. The harm to consumers and the public from a policy that makes treatment completion structurally impossible and from systematic misreporting of client progress is substantial and not outweighed by countervailing benefits.

3. As a direct and proximate result of Defendants' unlawful and unfair business practices, Plaintiff has lost money and property in the form of lost CDL wages, costs of compliance with unlawful supervision conditions, and other economic harm. Plaintiff seeks restitution of all monies wrongfully obtained or retained by HOPE as a result of this policy, and an injunction prohibiting further application of the blanket retention policy to Plaintiff and to all similarly situated parolees.

PRAYER FOR RELIEF

WHEREFORE, Plaintiff prays for judgment against Defendants HOPE Psychotherapy, Inc., Katie Palacios, and DOES 1-10, jointly and severally, as follows:

A. Compensatory damages according to proof, including economic damages of no less than $109,408 for 2022-2024 with continuing losses; costs of compliance with unlawful supervision conditions; and non-economic damages for emotional distress and loss of liberty;

B. Statutory damages under Civil Code § 52.1;

C. Punitive damages under Civil Code § 3294 in an amount sufficient to punish and deter;

D. Declaratory relief as set forth in the Sixth Cause of Action;

E. A permanent injunction requiring HOPE to conduct a bona fide, individualized assessment of Plaintiff's eligibility for treatment completion based on published, objective clinical criteria;

F. Restitution of all monies wrongfully obtained or retained by Defendants as a result of the unlawful and unfair business practices alleged herein;

G. Reasonable attorney's fees and costs as permitted by Civil Code § 52.1(i), Code of Civil Procedure § 1021.5, and any other applicable authority;

H. Prejudgment and postjudgment interest at the maximum legal rate;

I. Costs of suit; and

J. Such other and further relief as this Court deems just and proper.

DEMAND FOR JURY TRIAL

Plaintiff demands a trial by jury on all issues so triable.

Dated: April 22, 2026

BRENDAN NGEHSI NEWANFORBI

EXHIBIT B

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Attorneys for Defendants
KATIE PALACIOS and HOPE PROGRAM

FILED
SUPERIOR COURT SAN JOAQUIN
2026 MAY 22 P 1:45
STEPHANIE BOHRER, CLERK
BY MIA STIPE
DEPUTY

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF SAN JOAQUIN

BRENDAN NGEHSI NEWANFORBI,

Plaintiff,

v.

KATIE PALACIOS, Clinical Director, HOPE Program (Stockton, California), an individual; HOPE PSYCHOTHERAPY, INC., d/b/a HOPE PROGRAM, a California corporation; and DOES 1-10, inclusive,

Defendants.

Case No.: STK-CV-UF-2026-0001032

DEFENDANTS KATIE PALACIOS AND HOPE PROGRAM'S NOTICE OF DEMURRER AND DEMURRER TO PLAINTIFF'S FIRST AMENDED COMPLAINT; MEMORANDUM OF POINTS AND AUTHORITIES IN SUPPORT

Date: June 25, 2026
~~**July 7, 2026**~~
July 15, 2026
Time: 9:00 a.m.
Dept.: 10A

Complaint Filed: February 10, 2026
Trial Date: TBD

TO ALL PARTIES HEREIN AND THEIR ATTORNEYS OF RECORD:

PLEASE TAKE NOTICE that on _____, 2026 at ____ .m., or as soon thereafter as the matter may be heard in Department ___ of the above-entitled court, located at Defendants KATIE PALACIOS and HOPE PROGRAM will and hereby does generally demurrer to Plaintiff's entire First Amended Complaint ("FAC"), pursuant to California Code of Civil Procedure sections 430.10(e), due to the FAC's failure to state facts sufficient to constitute a cause of action.

This Demurrer is based upon this Notice of Demurrer, the Memorandum of Points and

FILE BY FAX

Authorities, Defendants' Request for Judicial Notice, and upon the pleadings, records, and files herein, and upon such oral and documentary evidence as may be presented at the hearing of this motion.

DEMURRER

Defendants KATIE PALACIOS and HOPE PROGRAM demurs to the FAC on the following grounds:

- Demurrer to the First Cause of Action for Fraud/Intentional Misrepresentation due to failure to state facts sufficient to constitute a cause of action.
- Demurrer to the Second Cause of Action for Negligence due to failure to state facts sufficient to constitute a cause of action.
- Demurrer to the Third Cause of Action for Intentional Infliction of Emotional Distress due to failure to state facts sufficient to constitute a cause of action.
- Demurrer to the Fourth Cause of Action for Intentional Interference with Prospective Economic Advantage due to failure to state facts sufficient to constitute a cause of action.
- Demurrer to the Fifth Cause of Action for violation of the Bane Act due to failure to state facts sufficient to constitute a cause of action.
- Demurrer to the Sixth Cause of Action for Declaratory Relief due to failure to state facts sufficient to constitute a cause of action.
- Demurrer to the Seventh Cause of Action for violation of Business & Professions Code § 17200 due to failure to state facts sufficient to constitute a cause of action.
- Demurrer to the entire FAC due to failure to allege exhaustion.

MEET AND CONFER

Code of Civil Procedure section 430.41, subdivision (a) states that before filing a demurrer pursuant to this chapter, the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer. As outlined in the Declaration of Blaze Van Dine, filed in support, the parties met and conferred by telephone more than 5 days before date Defendants' responsive pleading was due. (Decl. Van Dine at ¶ 2.) Despite a good faith effort, the

parties did not reach an agreement resolving the objections raised in the demurrer. (Decl. Van Dine at ¶ 3.)

TENTATIVE RULING

The Stockton courthouse uses the tentative ruling system for law and motion matters. Tentative rulings are posted electronically by 1:30 PM the day before the hearing. To view a tentative ruling, visit Tentative Rulings under Online Services and follow the prompts.

Dated: May 22, 2026

SIMS, LAWRENCE & BROGHAMMER

By: Cynthia G. Lawrence
CYNTHIA G. LAWRENCE
BRYAN L. MALONE
BLAZE VAN DINE
Attorneys for Defendants,
KATIE PALACIOS and
HOPE PROGRAM

MEMORANDUM OF POINT AND AUTHORITIES

I. BACKGROUND

Plaintiff commenced this action on February 10, 2026. Plaintiff is proceeding on a First Amended Complaint ("FAC") filed on April 22, 2026. The FAC alleges that Plaintiff is a California Department of Corrections and Rehabilitation ("CDCR") parolee. (FAC at 1:28.[1]) Plaintiff has been participating in Sex Offender Management with Defendant HOPE Psychotherapy, Inc., ("HOPE"), since March 5, 2021, at the Stockton facility. (*Id.* at 1:24-2:1.) Defendant KATIE PALACIOS ("PALACIOS") is HOPE's site Director at the Stockton facility. (*Id.* at 2:15-17.)

In June of 2024, a HOPE clinician informed Plaintiff that "no homework completed by Plaintiff had ever been found in HOPE's records." (*Id.* at 6:8-12.) Plaintiff, however, had completed all homework modules and submitted them to HOPE. (*Id.* at 6:16-18.) In August of 2025, PALACIOS admitted that "HOPE routinely loses client homework packets." (*Id.* at 6:18-19.)

Moreover from 2021, to the present "in connection with each semi-annual Containment Team Meeting (CTM) . . . PALACIOS prepared and submitted treatment-status content to CDCR using CDCR Form 3034 (Containment Team Meeting/Earned Discharge Consideration Committee)[.]" (*Id.* at 7:4-7.) PALACIOS also contributed to Plaintiff's "CDCR Discharge Review Report (CDRC Form 1502-DR)." (*Id.*at 7:4-8.)

Therein, PALACIOS stated with respect to Plaintiff, "*Subject partially participates in discussion. Subject has partially completed homework packets. Subject demonstrates partial understanding of the subject material. Subject is fixated on lawsuits instead of subject material* and characterized Plaintiff's status as *not completed* sex-offender treatment." (*Id.* at 7:10-13) (emphasis in original). These statements were transmitted to Plaintiff's parole agent of record—Magana, Arestad, Acierto, Urrea, and Long Moua—and to the supervising parole agent, which included Gary Noguchi. (*Id.* at 7:15-16.)

According to the FAC, PALACIOS's statements were false. (*Id*. at 8:5-6.) The statements were the result of "HOPE's blanket retention policy, and of HOPE's own routine loss of homework

[1] The FAC does not number paragraphs consecutively, accordingly Defendants have provided page and line citations.

packets, not the product of individualized clinical assessment of Plaintiff's actual performance." (*Id.* at 8:6-8.) In this regard, the FAC alleges that "HOPE applies a blanket retention policy under which no parolee is determined to have *completed* treatment prior to discharge from parole." (*Id.* at 4:1-2.) The FAC represents that "policy was judicially condemned in *In re Dwyer*, No. SC-080355A (San Mateo County Super Ct., March 20, 2023) (Hill, J.)." (*Id.* at 4:17.)

Moreover, the FAC alleges that "CDCR justifiably relied on HOPE's representations" as confirmed by a "November 2025 1502-DR." (*Id.* at 8:16:22.) "The November 2025 1502-DR confirms this institutional deference on its face by relying on HOPE's recommendation as the treatment-based predicate for *Continued DAPO supervision*." (*Id.* at 8:21-23.) (emphasis in original.)

According to the FAC, as a result of HOPE's blanket policy and loss of Plaintiff's homework, Plaintiff suffered economic damages from lost wages as a commercial long-haul truck driver. (*Id*. at 9:14-10:9.) The FAC alleges causes of action for: (1) fraud/intentional misrepresentation; (2) negligence; (3) intentional infliction of emotional distress; (4) intentional interference with prospective economic advantage; (5) violation of the Bane Act; (6) declaratory relief due; and (7) violation of Business & Professions Code § 17200.

II. LEGAL STANDARD

"When any ground for objection to a complaint, cross-complaint, or answer appears on the face thereof . . . the objection on that ground may be taken by a demurrer to the pleading." (Code Civ. Proc. § 430.30(a).) California Code of Civil Procedure section 430.10(e) provides that court may sustain a demurrer where the pleadings fail to state facts sufficient to constitute a cause of action. (*See* Code Civ. Proc. § 430.10(e); *see also Washington v. County of Contra Costa* (1995) 38 Cal.App.4th 890, 895.) Code of Civil Procedure section 430.10 requires that a complaint must contain "a statement of the facts constituting the cause of action in ordinary and concise language." (Code Civ. Proc. § 425.10.) If the complaint fails to state facts constituting a cause of action, the defendant can demur to the entire complaint and/or any particular causes of action therein. (Code Civ. Proc. § 430.50.)

California Code of Civil Procedure section 430.50(a) provides that "[a] demurrer to a complaint . . . may be taken to the whole complaint . . . or to any of the causes of action stated therein."

The function of a demurrer is to test the legal sufficiency of the pleading. (*Beauchene v. Synanon Foundation, Inc.* (1979) 88 Cal.App.3d 342, 346.) In considering a demurrer, the court treats "the demurrer as admitting all material facts properly pleaded, but no contentions, deductions or conclusions of fact or law." (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The court also considers matters that may be judicially noticed. (*Ibid*.) If the court sustains the demurrer, it is the plaintiff's burden to demonstrate in what manner the complaint can be amended to cure the defect. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349.)

III. ARGUMENT

As set forth below, the FAC fails to set forth factual allegations establishing that either Defendant caused any harm to Plaintiff, fails to allege that Plaintiff exhausted available administrative remedies, that the FAC should have been brought as a habeas petition, and cannot state a Bane Act Claim. Thus, admitting all material facts properly pleaded in the FAC—but not contentions, deductions or conclusions of fact or law—the FAC fails to allege facts to sufficient to state a cause of action. Defendants' demurrer should, therefore, be granted.

A. The FAC Fails to Allege Facts Establishing Defendants Caused Plaintiff Harm

The FAC alleges that from 2021 through the present, Defendant PALACIOS "submitted treatment-status content to CDCR using CDCR Form 3043 (Containment Team Meeting/Earned Discharge Consideration Committee) and contributed to CDCR's Discharge Review Report (CDCR Form 1502-DR)." (FAC at 7:1-8.) PALCIOS's statements allegedly included the following: "Subject partially participates in discussion. Subject has partially completed homework packets. Subject demonstrates partial understanding of the subject material. Subject is fixated on lawsuits instead of subject material and characterized Plaintiff's status as not completed sex-offender treatment." (*Id.* at 7:10-13.)

PALACIOS's reports were "incorporated" into a November 2025, 1502-DR, resulting in an "agent recommendation" of "Discharge Denied/No Action." (*Id.* at 7:26-8:3.) This November 2025, 1502-DR was "signed by Agent Moua on November 14, 2025 and Unit Supervisor Noguchi on November 19, 2025[.]" (*Id.* at 7:26-27.) Pursuant to PALACIO's statements in the November 2025, 1502-DR "CDCR justifiably relied on HOPE's representations" in making its decision to deny

Plaintiff's discharge from parole supervision. (*Id.* at 8:16.) "But for HOPE's non-completion characterization and its repeated false partial homework reports, the November 2025 discharge review would not have had the treatment-based justification on which it expressly rested." (*Id.* at 8:23-25.)

However, even assuming the "non-completion characterization" and "partial homework reports" were false, there are no factual allegations to support the conclusory assertion that PALACIOS's statements that Plaintiff "partially participates in discussion," "demonstrates partial understanding of the subject material" and "is fixated on lawsuits instead of subject material" were not the result of an individualized clinical assessment of Plaintiff's actual performance. While Plaintiff may disagree with her conclusions, those are PALACIOS's opinions as a treating provider. The FAC provides no factual allegations to dispute her professional opinion.

The representation that Plaintiff "is fixated on lawsuits" is, in fact, supported by objective evidence subject to judicial notice. In this regard, it appears from a search of Westlaw that Plaintiff filed two other lawsuits in federal court that have resulted in opinions available on Westlaw. *See BRENDAN NGEHSI NEWANFORBI, Plaintiff, v. K. BAROCIO, et al., Defendants.* (E.D. Cal., May 18, 2026, No. 2:26-CV-0191 DJC CSK P) 2026 WL 1389969, at *3 ("Plaintiff seeks prospective injunctive relief prohibiting CDCR from continuing to rely on the continuing discharge date ('CDD') or an order directing CDCR to recalculate plaintiff's credits consistent with the July 9, 2020 PPC policy, and money damages."); *Newanforbi v. California* (E.D. Cal., Apr. 20, 2026, No. 2:25-CV-1460-DC-CSK PS) 2026 WL 1067541, at *1 ("The incident also triggered a parole violation hold, and Plaintiff was incarcerated from the Friday of the incident until the following Wednesday before being brought to court for arraignment.").

Plaintiff has also filed two additional federal lawsuits concerning the allegations at issue in this lawsuit which have not yet resulted in opinions obtainable through Westlaw: *Newanforbi v. Agent A. Derrick, et al.*, (E.D. Cal., Jan. 5, 2026), and *Newanforbi v. HOPE Psychotherapy, Inc., et al.*, (E.D. Cal., Jan. 22, 2026, No. 2:25-cv-0195 TLN AC PS).[2] In support of this demurrer,

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[2] The number of state court actions Plaintiff has filed is unknown.

Defendants have provided a copy of the complaints filed in each of these actions and request judicial notice. (*See* Defs.' RJN., Ex. A-D.)

The Court may take judicial notice of the records any court of record of this state or of the United States. (Evid. Code § 452(e).) The Court shall take judicial notice of such records where requested by a party, the party provides sufficient notice to enable the adverse party to meet the request, and furnishes the court with sufficient information to enable it to take judicial notice. (Evid. Code § 453.) "[A] complaint otherwise good on its face is nevertheless subject to demurrer when facts judicially noticed render it defective." (*Legg v. Mutual Ben. Health and Acc. Ass'n* (1960) 184 Cal.App.2d 482, 488.)

Moreover, the November 2025, 1502 DR signed by Agent Moua on November 14, 2025 and Unit Supervisor Noguchi on November 19, 2025—which Plaintiff attached to his complaint filed in *Newanforbi v. HOPE Psychotherapy, Inc., et al.*, (E.D. Cal., Jan. 22, 2026, No. 2:25-cv-0195 TLN AC PS)—reflects numerous reasons for the "Discharge Denied/No Action" determination, including that Plaintiff "incurred multiple parole violations during this review period for failure to attend sex offender treatment and failure to charge Global Positioning System," was "unemployed and not attending school," and that "Newanforbi has only completed approximately 4 years of the required 6.5 years of supervision." (*See* Def.'s RJN, Ex. D at 21-25.)

According to the FAC's own allegations the "November 2025 1502-DR" upon which CDCR allegedly relied reflected that Plaintiff had a "Stable" score of 6.[3] (FAC at 8:26-28.) That is consistent with the copy of the November 2025, 1502-DR form Plaintiff attached to his complaint filed in *Newanforbi v. HOPE Psychotherapy, Inc., et al.*, (E.D. Cal., Jan. 22, 2026, No. 2:25-cv-0195 TLN AC PS). (*See* Defs.' RJN, Ex. D at 24.)

California law explicitly provides that reasons to retain a supervised person in a sex offender management program "may include, but are not limited to . . . a Stable-2007 score of four or higher

[3] "The Department's contracted sex offender treatment providers (whom are trained and certified pursuant to PC section 290.09) shall utilize the supplemental risk assessments Level of Service/Case Management Inventory (LS/CMI) and STABLE-2007/ACUTE-2007 pursuant to PC section 290.04, as supplemental risk assessments to the Static-99R for adult male sex offenders. The LS/CMI will measure risk of future violence of adult male sex offenders, and the STABLE-2007/ACUTE-2007 will measure dynamic (changing) risk factors of adult male sex offenders." (Cal. Code Regs., tit. 15, § 3573(d).)

for males only" as well as "Parole violation(s), relevant to the supervised person's sex offense or adherence to the Conditions and Special Conditions of Parole associated with their sex offense, that occurred within one year of the review." (Cal. Code Regs., tit. 15, § 3574(f)(2)-(4).)

In this regard, even assuming the FAC's allegations were true, the FAC fails to state facts sufficient to constitute a cause of action, as the FAC does not even allege facts establishing that either Defendant caused Plaintiff any harm. In plain terms, the FAC's own factual allegations, as well as the judicially noticeable documents, establish that Plaintiff was retained in sex offender management treatment and parole supervision due to—at a minimum— his partial participation in discussions, his partial understanding of the subject material, his fixation on lawsuits instead of the subject material, his STABLE score, and his multiple parole violations.

Causation is a fundamental element for the FAC's claims for fraud, negligence, the intentional infliction of emotional distress, intentional interference with prospective economic advantage, and violation of Business & Professions Code § 17200. (*See Sandoval v. Pali Institute, Inc.* (2025) 113 Cal.App.5th 616, 629 ("IIED has three elements: (1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff's suffering severe or extreme emotional distress; [and] (3) ... actual and proximate causation of the emotional distress by the defendant's outrageous conduct."); *Stephenson v. Argonaut Ins. Co.* (2004) 125 Cal.App.4th 962, 974-975 ("Whatever form it takes, the injury or damage must not only be distinctly alleged but its causal connection with the reliance on the representation must be shown. Damage to be subject to a proper award must be such as follows the act complained of as a legal certainty."); *Vasquez v. Residential Investments, Inc.* (2004) 118 Cal.App.4th 269, 288 ("The plaintiff must show (1) the defendant's act or omission was a cause in fact of the plaintiff's injury, and (2) the defendant should be held responsible for negligently causing the plaintiff's injury."); *Roy Allan Slurry Seal, Inc. v. American Asphalt South, Inc.* (2017) 2 Cal.5th 505, 512 ("Intentional interference with prospective economic advantage has five elements: (1) the existence, between the plaintiff and some third party, of an economic relationship that contains the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentionally wrongful acts designed to disrupt the relationship; (4) actual disruption

of the relationship; and (5) economic harm proximately caused by the defendant's action.").)

As articulated above, the FAC does not simply fail to allege facts showing causation, it is established that the Defendants were not the cause of the harm alleged. Thus, even assuming *arguendo* the FAC's allegations that HOPE had a blanket retention policy and incorrectly reported that Plaintiff failed to complete homework were true: (1) Defendant PALACIOS's alleged statements that Plaintiff "partially participates in discussion," "demonstrates partial understanding of the subject material" and "is fixated on lawsuits instead of subject material" are not disputed by any factual allegations; (2) Parole Agent Moua and Parole Unit Supervisor Noguchi relied on Plaintiff's "multiple parole violations during this review period for failure to attend sex offender treatment and failure to charge Global Positioning System," that Plaintiff was "unemployed and not attending school," and that "Newanforbi has only completed approximately 4 years of the required 6.5 years of supervision"; and (3) the FAC's allegations allege that Plaintiff's Stable score—in addition to the parole violation previously noted—provided a lawful reason to retain him in the sex offender management program pursuant to Cal. Code Regs., tit. 15, § 3574(f)(2)-(4).

The FAC fails to state facts constituting a cause of action. Defendants' demurrer should, therefore, be granted.

B. Failure to Exhaust Administrate Remedies

Penal Code § 3008 (d)(2) requires that persons convicted of a sex offense requiring registration pursuant to Penal Code §§ 290-290.02 on or after July 1, 2012, shall successfully complete a sex offender management program as a condition of parole. The length of the program shall be at least one year and up to the entire period of parole. (*Ibid.*) Within the lawful time frame, the precise length of a treatment program for any parolee is "determined by the certified sex offender management professional in consultation with the parole officer and as approved by the court." (*Ibid.*)

"The sex offender management program is comprised of three treatment phases (Curriculum Phase, Maintenance Phase, Aftercare Phase), Containment Team Meetings (CTM), and polygraph examinations." (Cal. Code Regs., tit. 15, § 3574(a).) The purpose of a CTM "is to review the supervised person's treatment progress, dynamic risk factors, polygraph results, community reintegration, response to parole supervision, supervision category, and relevant individual case

factors to evaluate the supervised person's readiness for sex offender management program completion." (Cal. Code Regs., tit. 15, § 3574(a)(4).)

The Containment Team consists of at least "a contracted clinician, parole agent, unit supervisor or assistant unit supervisor, and the supervised person." (Cal. Code Regs., tit. 15, § 3574(a)(4)(A).) Typically, the Containment Team will be comprised of "a parole agent, unit supervisor or assistant unit supervisor, supervised person, contracted clinician (licensed psychiatrist, psychologist, or psychiatric social worker directly treating the supervised person), and victim advocacy representative." (*Ibid.*)

The Containment Team reviews the supervised person's program completion to determine the length of participation in the sex offender management program. (Cal. Code Regs., tit. 15, § 3574(e).) The determination to retain a supervised person in a sex offender management program is documented on CDCR Form 3043 Containment Team Meeting/Earned Discharge Consideration Committee, and is signed by the parole agent. (Cal. Code Regs., tit. 15, § 3574(f).)

Thereafter, the supervised person is subject to a discharge review by the parole agent, which "means a review of a supervised person's criminal history, and their adjustment and/or performance while under parole supervision for the purpose of rendering a decision as to whether or not a supervised person should be retained on parole supervision for another year or be discharged from parole supervision altogether." (Cal. Code Regs., tit. 15, § 3720(2).) A discharge review report is prepared on CDCR Form 1502. (Cal. Code Regs., tit. 15, § 3721.1.) A supervised person, such as Plaintiff, "may file a grievance regarding any mistake of fact contained in the discharge review report pursuant to the administrative remedies procedures provided in section 3480, *et seq*." (Cal. Code Regs., tit. 15, § 3723.)

Plaintiff, therefore, was authorized to file a written grievance regarding any perceived mistake of fact found in the November 2025, 1502 Discharge Review Report (or any Discharge Review Report for that matter). (*See* Cal. Code Regs., tit. 15, § 3481(a).) California law also explicitly provides that a "supervised person who wishes to submit a grievance . . . shall do so in writing to the Office of Grievances in the parole region where they are supervised." (Cal. Code Regs., tit. 15, § 3482(a)(2).) Thereafter, a "claimant who wishes to appeal a decision or remedy issued by an Office

of Grievances shall do so in writing by submitting a CDCR Form 602-2 . . . directly to the Office of Appeals by regular mail sent to the address indicated on the form or by electronic kiosk or tablet, if available." (Cal. Code Regs., tit. 15, § 3484(a).) Where the appeal is denied on the merits, the administrative remedies process is exhausted. (*See* Cal. Code Regs., tit. 15, § 3485(l)(5)(A).)

"'When an applicable statute, ordinance, or regulation provides an adequate administrative remedy, a party must exhaust it before seeking judicial relief.'" (*Foster v. Sexton* (2021) 61 Cal.App.5th 998, 1023 (quoting *Plantier v. Ramona Municipal Water Dist.* (2017) 12 Cal.App.5th 856, 865).) "Where administrative remedies exist, California courts usually will not have subject matter jurisdiction over a dispute until the administrative tribunal has made a final determination." (*Foster*, *supra*, 61 Cal.App.5th at 1023.) Exhaustion is required "even when seeking money damages unavailable in the administrative process." (*Wright v. State of California* (2004) 122 Cal.App.4th 659, 668.)

"A complaint is vulnerable to demurrer on administrative exhaustion grounds when it fails to plead either that administrative remedies were exhausted or that a valid excuse exists for not exhausting." (*Parthemore v. Co*l (2013) 221 Cal.App.4th 1372, 1379.) Here, the FAC fails to allege either that administrative remedies were exhausted or that a valid excuse exists for not exhausting. Accordingly, Defendants' demurrer should be granted.

C. Petition for Writ of Habeas Corpus

After exhausting the available administrative remedies, a "petition for a writ of habeas corpus can be used to challenge a parole restriction." (*In re David* (2012) 202 Cal.App.4th 675, 680; *see also Kevin R. v. Superior Court* (2010) 191 Cal.App.4th 676, 685 ("A parolee may bring a habeas proceeding challenging his or her parole conditions to superior court, appellate court and the Supreme Court, which have original jurisdiction to hear a habeas proceeding relating to parole.").) A petition for writ of habeas corpus is the proper filing for a paroled registered sex offender seeking ///
to challenge a condition of their paroles. (*See In re E.J.* (2010) 47 Cal.4th 1258, 1271; Cal. Rules of Court, 4.552(b)(2)(C).)

The *Dwyer* opinion referred to throughout the FAC in fact concerned a petition for writ of habeas corpus. Plaintiff fundamentally misreads *Dwyer*. The supervised person in *Dwyer* was

factually distinct from Plaintiff in that they had successfully completed a sex offender treatment program before transferring to HOPE, their attendance was nearly perfect, their Stable score was 2, they were employed, enrolled in college, and had no parole violations within the last few years. (*See* Defs.' RJN, Ex. D at 31.)

Nonetheless, putting aside the FAC's mischaracterization of *Dwyer*, the challenge to continued participation in HOPE's treatment program in *Dwyer* was brought pursuant a petition for writ of habeas corpus. Here, Plaintiff has failed to alleged compliance with the exhaustion requirement, has avoided bringing a petition for writ of habeas corpus, and seeks to obtain monetary damages from the Defendants without any prior showing of any wrongful conduct on their part. Accordingly, Defendants' demurrer should be granted.

D. Failure to Allege Facts Sufficient to State a Cause of Action Pursuant to Civ. Code § 52.1

The FAC alleges a cause of action pursuant to California Civil Code § 52.1. (FAC at 19.) § 52.1 provides a private right of action for damages against any person, "whether or not acting under color of law," who "interferes" or "attempts to interfere by threat, intimidation, or coercion, with the exercise or enjoyment by any individual or individuals of rights secured by the Constitution or laws of the United States, or of the rights secured by the Constitution or laws [of California]." "[T]he statute was intended to address only egregious interferences with constitutional rights, not just any tort." (*Julian v. Mission Community Hospita*l (2017) 11 Cal.App.5th 360, 395, as modified on denial of reh'g (May 23, 2017).)

The FAC alleges that "Plaintiff possesses statutory rights under Penal Code Section 3008(d)(2)-the right to a non-arbitrary, individualized clinical determination of treatment length and completion based on the criteria the Legislature established-and under 15 CCR Section 3574(f)(1)-

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the right to have treatment-completion and parole-discharge maintained as legally separate decisions." (FAC at 19:26-20:1.) Those allegations are false.

California Penal Code § 3008(d)(2) reads:

> Persons placed on parole on or after July 1, 2012, shall successfully

> complete a sex offender management program, following the standards developed pursuant to Section 9003, as a condition of parole. The length of the period in the program shall be not less than one year, up to the entire period of parole, as determined by the certified sex offender management professional in consultation with the parole officer and as approved by the court. Participation in this program applies to every person described without regard to when his or her crime or crimes were committed.

15 CCR Section 3574(f)(1) reads:

> When the Containment Team makes a determination to retain a participant in a sex offender management program, the determination shall be supported by good cause, as defined in Section 3000. A determination to retain a supervised person in a sex offender management program shall be stated in writing, signed by the sex offender treatment provider and parole agent on the CDCR Form 3043 Containment Team Meeting / Earned Discharge Consideration Committee (Rev.11/24), which is incorporated by reference. This completed form shall be delivered to the supervised person within 30 calendar days of the CTM and maintained in the supervised person's file. Reasons to retain a supervised person in a sex offender management program may include, but are not limited to:
>
> (1) Pursuant to Section 3573, a Level of Service or Case Management Inventory (LS/CMI) score of 11 or higher.

These provisions do not provide Plaintiff a statutory right.

Moreover, the "essence of a Bane Act claim is that the defendant, by the specified improper means (i.e., 'threats, intimidation or coercion'), tried to or did prevent the plaintiff from doing something he or she had the right to do under the law or to force the plaintiff to do something that he or she was not required to do under the law." (*Austin B. v. Escondido Union School Dist.* (2007) 149 Cal.App.4th 860, 883.) "[T]he Bane Act requires that the challenged conduct be intentional." (*Simmons v. Superior Court* (2016) 7 Cal.App.5th 1113, 1125.) The FAC contains no factual allegations establishing that either Defendant intentionally tried to prevent plaintiff from doing something he had a right to do under the law.

Accordingly, Defendants' demurrer to the FAC's Bane Act claim should be granted.

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IV. CONCLUSION

The FAC fails to allege facts sufficient to state a cause of action, fails to allege exhaustion, and should have been brought as a petition for writ of habeas corpus. Defendants' demurrer should, therefore, be granted.

Dated: May 22, 2026

SIMS, LAWRENCE & BROGHAMMER

By: Cynthia G. Lawrence
CYNTHIA G. LAWRENCE
BRYAN L. MALONE
BLAZE VAN DINE
Attorneys for Defendants,
KATIE PALACIOS and
HOPE PROGRAM

PROOF OF SERVICE

I, Kim Schmitt, certify and declare as follows:

I am over the age of 18 years, and not a party to this action. My business address is 1478 Stone Point Drive, Suite 450, Roseville, CA 95661. My business email is: kschmitt@sims-law.net I am employed in the County of Placer where this service occurs.

On the date set forth below, following ordinary business practice, I served a true copy of the foregoing document(s) described as:

DEFENDANTS KATIE PALACIOS AND HOPE PROGRAM'S NOTICE OF DEMURRER AND DEMURRER TO PLAINTIFF'S FIRST AMENDED COMPLAINT; MEMORANDUM OF POINTS AND AUTHORITIES IN SUPPORT

☐ (BY MAIL) I am readily familiar with my employer's normal business practice for collection and processing of correspondence for mailing with the U.S. Postal Service. Correspondence so collected and processed is deposited with the U.S. Postal Service that same day in the ordinary course of business. I placed for deposit in the United States Postal Service in a sealed envelope, with postage fully prepaid, to the addressee(s) below.

☐ (BY PERSONAL SERVICE) I personally delivered the above document(s) by hand between 9:00 a.m. and 5:00 p.m. to the office of the addressee(s) below.

☐ (BY OVERNIGHT DELIVERY) I deposited in a box or other facility regularly maintained by Federal Express an express service carrier, or delivered to a courier or driver authorized by said express service carrier to receive such envelope(s) to be delivered by overnight delivery, with delivery fees paid or provided for, addressed to the person(s) on whom it is to be served below.

☒ (BY ELECTRONIC SERVICE) I transmitted via electronic service through electronic mail to the offices of the addressee(s) below as stated on the attached service list on this date before 5:00 p.m.

SEE ATTACHED SERVICE LIST

☒ (State) I certify and declare under penalty of perjury under the laws of the State of California that the foregoing is true and correct.

Executed on: May 22, 2026

Kim Schmitt

SERVICE LIST

Brendan Ngehsi Newanforbi Plaintiff, in Pro Per 1455 Cat Tail Drive Stockton, CA 95204 (209) 801-4442 E: bnn.cdl@gmail.com	**PLAINTIFF, IN PER**

EXHIBIT C

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Attorneys for Defendants
KATIE PALACIOS and HOPE PROGRAM

Filed JUL 15 2026
STEPHANIE BOHRER, CLERK
By DEPUTY

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF SAN JOAQUIN

BRENDAN NGEHSI NEWANFORBI,

Plaintiff,

v.

KATIE PALACIOS, Clinical Director, HOPE Program (Stockton, California), an individual; HOPE PSYCHOTHERAPY, INC., d/b/a HOPE PROGRAM, a California corporation; and DOES 1-10, inclusive,

Defendants.

Case No.: STK-CV-UF-2026-0001032

~~[PROPOSED]~~ ORDER ON DEFENDANTS KATIE PALACIOS AND HOPE PROGRAM'S DEMURRER TO PLAINTIFF'S FIRST AMENDED COMPLAINT

Date: 7/15/26
Time: 9:00AM
Dept.: 10A

Complaint Filed: February 10, 2026
Trial Date: TBD

The demurrer of Defendants KATIE PALACIOS and HOPE PROGRAM to Plaintiff's First Amended Complaint came on for hearing in Department of this court on the date and time referenced above. Attorney Blaze Van Dine appeared on behalf of Defendants KATIE PALACIOS and HOPE PROGRAM. Plaintiff Brendan Ngehsi Newanforbi appeared in pro per on his own behalf. Having read and considered the demurrer, the memoranda, the request for judicial notice, and declarations filed by the parties, and having heard argument of counsel.

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MAY 22 2026

FILE BY FAX

IT IS ORDERED THAT:

The demurrer to the First Amended Complaint is sustained without leave to amend on the grounds that the First Amended Complaint fails to allege facts sufficient to state any cause of action.

DATED: July 15, 2026

JUDGE OF THE SUPERIOR COURT
GEORGE J. ABDALLAH, JR

PROOF OF SERVICE

I, Kim Schmitt, certify and declare as follows:

I am over the age of 18 years, and not a party to this action. My business address is 1478 Stone Point Drive, Suite 450, Roseville, CA 95661. My business email is: kschmitt@sims-law.net. I am employed in the County of Placer where this service occurs.

On the date set forth below, following ordinary business practice, I served a true copy of the foregoing document(s) described as:

[PROPOSED] ORDER ON DEFENDANTS KATIE PALACIOS AND HOPE PROGRAM'S DEMURRER TO PLAINTIFF'S FIRST AMENDED COMPLAINT

☐ (BY MAIL) I am readily familiar with my employer's normal business practice for collection and processing of correspondence for mailing with the U.S. Postal Service. Correspondence so collected and processed is deposited with the U.S. Postal Service that same day in the ordinary course of business. I placed for deposit in the United States Postal Service in a sealed envelope, with postage fully prepaid, to the addressee(s) below.

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SEE ATTACHED SERVICE LIST

☒ (State) I certify and declare under penalty of perjury under the laws of the State of California that the foregoing is true and correct.

Executed on: May 22, 2026

Kim Schmitt

SERVICE LIST

Brendan Ngehsi Newanforbi Plaintiff, in Pro Per 1455 Cat Tail Drive Stockton, CA 95204 (209) 801-4442 E: bnn.cdl@gmail.com	**PLAINTIFF, IN PER**

UNITED STATES DISTRICT COURT

FOR THE NORTHERN DISTRICT OF CALIFORNIA

BRENDAN NGEHSI NEWANFORBI, Plaintiff, v. SHANNON SMITH, LCSW, Chief Executive Officer and Founder of HOPE Program, and individual; and HOPE PSYCHOTHERAPY, INC., d/b/a HOPE PROGRAM, a California corporation, Defendants.	Case No. 3:26-cv-07504-LJC **[PROPOSED] ORDER**

Defendants Shannon Smith and HOPE Program's motion to dismiss Plaintiff's complaint came before the Court for hearing on October 20, 2026. Upon consideration of the parties' briefing and oral argument, IT IS HEREBY ORDERED that:

1. Defendants Shannon Smith and HOPE Program's motion to dismiss pursuant to Federal Rule of Civil Procedure 12(b)(6) is GRANTED; and

2. Plaintiff's complaint is dismissed [with/without] leave to amend.

IT IS SO ORDERED.

DATED:

_____

HON. LISA J. CISNEROS
UNITED STATES MAGISTRATE JUDGE